

K.P.R. Mill Ltd. (KPRMILL)

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"K.P.R. Mill Limited Conference Call hosted by Bativala &
Karani Securities India Pvt. Ltd. "

May 04 , 2023

MANAGEMENT : MR. P. NATARAJ – MANAGING DIRECTOR ,
K.P.R. MILL LIMITED
MR. PL. MURUGAPPAN – CHIEF FINANCIAL OFFICER ,
K.P.R. MILL LIMITED
MR. P. KANDASWAMY – COMPANY SECRETARY ,
K.P.R. MILL LIMITED
MODERATOR : MR. ABHISHEK NIGAM – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Earnings Conference Call of K .P.R. Mill Limited, hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded. I now hand the conference over to Mr. Abhishek Nigam from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Abhishek Nigam: Thanks, Jacob. Hi, everyone. Thank you for joining us today afternoon. We are joined today by management from K .P.R. Mill Limited. We have with us Mr. Nataraj – the Managing Director; Mr. Murugappan, who is the CFO; and Mr. Kandaswamy – the Company Secretary. And now without any further delay, I will hand over to Mr. Nataraj for opening comments. Over to you, sir.

P. Nataraj: Thank you, Mr. Abhishek, and very good evening to everyone here, and I welcome you all for the K .P.R. Mill Limited Q4 Earnings Call for the Financial Year 2023.

The opening of economies around the world after the COVID crisis, consumers had the opportunity to spend the money that they could not during the COVID period. Consequently, demand soured, and brands and retailers increased orders to meet this pent-up demand. However, with inflation rising, especially after the Russian invasion of Ukraine, the demand of consumer goods slowed with inventories remained very high

KPR commenced FY2023 with a positive mode of growth and profitability . But the steep increase in cotton prices, we all know

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well, coupled with the resultant lower yarn realization impacted the margin. However, the unstinted support from the garment segment and our inherent strengths enabled KPR to repeat its performance level despite the challenges .

Now, the cotton prices started stabilizing , the textile industry is optimistic with the government policies and FTAs . As reported earlier, to improve our performance further , we implemented a

certain modernization and expansion plan at a total outlay of about Rs.500 crores. Setting of above exclusive vortex spinning mill at an outlay of Rs.100 crores will be completed during the current financial year. The rooftop solar power plant at Rs.50 crores is completed and commissioned. Processing and printing expansion at a cost of Rs.50 crores will be completed in the first half of this financial year. Ethanol capacity expansion at Rs.150 crores will be commenced before the coming sugar season 2023 -24, that is by October this year.

Then finally, we spent around Rs.100 crores on modernization to improve the quality of the product so as to meet the customers' requirements. With this, we have spent around Rs.500 crores in the last one year. The project will be completed by the end of this year around Rs.500 crores investment.

Geopolitical tensions, high inflation, raising commodity prices and interest rates are impacting many economies. The textiles business is also facing challenges. So, we are watching the market continuously and will consider any further expansion plans accordingly.

With these opening remarks, the floor is now open for the question -and-answer session. Thank you.

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Moderator: We will now begin the question -and-answer session. The first question is from the line of Kapil Jagasia from Nuvama Wealth Research. Please go ahead, sir.

Kapil Jagasia: Sir, firstly, wanted to know reasons for this sharp contraction in gross margins for this quarter?

P.L. Murugappan: This is mainly

only due to the margin reduction in spinning business, that is yarn and fabric. The cotton prices were highly volatile and the demand is little subdued, because of that the realization of yarn and fabric is lower than the normal levels, the profitability is also low during this quarter.

Kapil Jagasia: So, what were the margins in yarn and fabric segment this quarter?

P.L. Murugappan: This quarter is about 10%.

Kapil Jagasia: Garment segment margins would be?

P.L. Murugappan: 25% and sugar is about 20%.

Kapil Jagasia: How are you seeing this in coming quarter, any unutilized high cost, cotton inventory still in our books or how is it?

P.L. Murugappan: No, sir. All the inventories of the previous season has fully consumed. We have only the current inventories.

Kapil Jagasia: My next question is your sales contribution from Europe region this year has increased to 60%, 61%. So, can you elaborate, any client additions done in that region over the last one year?

P.L. Murugappan: It is mainly because of the existing customers like Primark and some of the European customer increased the order since we have commissioned the new plant for their requirement, the

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demand has increased from Europe and whatever the balance available capacity will be utilized for the other region customers in the coming year.

Kapil Jagasia: How's the demand environment in Europe region for garments, is it improving from last year, how is the outlook over there?

P.L. Murugappan: When compared to last year, we all know well about the Ukraine war, purchasing trend has changed a little bit in the Europe. So, as like what we are also waiting for similarly general image in Europe is also like that, there is a little bit slow down in the last three, four months we are able to see. But we hope that this trend will change and we are able to see a change in the order

flow. Most probably the orders are moving towards the large players. So, this is what we are able to see now .

Kapil Jagasia: What would be your order book position for garments as on today ?

P.L. Murugappan: As of today, it's about Rs.1,000 crores.

Moderator: The next question is from the line of Biplab Deb barma from Antique Stock Broking. Please go-ahead sir.

Biplab Debbarma : Sir, my question is on capacity expansion. So, you have multiple capacity extensions, one in ethanol, one in vortex , then you have the modernization , bottlenecking. S ir, just trying to understand all this cap acity expansion like how much increase in turnover this capacity expansion would be to ?

P.L. Murugappan: Vortex spinning is expected to be somewhere around Rs.100 crores of turnover on completion of the project. And the solar power plant is expect ed to generate revenue of close to about Rs.12 crore s per annum , it's more of a profit . And processing

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and printing ex pansion is expected to increase its capacity by about 4,000 tons . And ethanol ex pansion will increase the revenue by about Rs.150 crores .

Biplab Debbarma: So, around more than 250 -odd crores from all these capacity expansion?

P.L. Murugappan: Other than that , in the modernization whatever we have done it will improve our competitiveness in the market and we will continue to be the preferred customer in the market.

Biplab Debbarma: This always would lead to around 250 -odd crores of increas e in our turnover ?

P.L. Murugappan: Yes, more value -added products , so we will have returns.

Biplab Debbarma: Recently , Government has announced mega textile park and two of the parks has been launched ; one in Karnataka , one in Tamil Nadu. So, any plan of investment in this mega textile park and by when do you think this p ark will be operational if you intend to invest in , by when do you foresee that you would invest

in this park?

P.L. Murugappan: Development activities n ot yet commence d in Tamil Nadu . We expect that it will be done in the coming period and the final notifications and other benefits will be announced in the coming year. Based on that we will take a call on that .

Biplab Debbarma: And my final question is on the total interest cost has gone up significantly and I believe that level has also gone up. So, since we are doing a significant Rs.500 crores of CAPEX and in future also we are all anticipating your CAPEX in garment . So, at what level of debt would you be comfortable and how would you fund this CAPEX, what is the thought behind this CAPEX expansion?

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P.L. Murugappan: Most of the CAPEX project we have announced, and implementing is from internal sources only exce pt the ethanol project where the interest subsidy is available. Apart from the ethanol project, the other projects are all from internal accruals . The current term loan is about Rs. 590 crores and working capital of about Rs.735 crores and overall debt -equity ratio of about 0.37%. So, we feel up to 0.5% would be comfortable, but we are not intending to borrow much because the ca sh genera tions are good. Some of the term loans we have are mostly interest subsidy loans, other loans, we are slowly closing down.

Biplab Debbarma: So, what would be the bl ended cost of debt in this?

P.L. Murugappan: It will be so mewhere around 6%. Working capital loan is higher because it 's season ending , we are holding stocks for next four

to five months , that's why the working capital availment is little higher. It will be regularized in the coming periods.

Moderator: The next question is from the line of Dipen Shah, an individual investor . Please go ahead.

Dipen Shah : I have a couple of questions. Firstly, in the past year if you look at the total revenue growth in garments, we had probably a 5% to 7% volume growth and a large part of the revenues came from our increased realizations, which has reached almost Rs.200 Crores . So, if you could just give us some idea about what's the kind of value addition which came in and how much was because of the price increase because of cotton ?

P.L. Murugappan: Some 10% would be because of the cotton price increase , that is expected to continue in the coming period also, because currently , the cotton price is around Rs.65,000 , the prices what

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is in the previous period is also the same, it's expected to continue . On the value additions , we have introduced some of the printing technologies in the garment divisions and embroidery and other whole body printing kind of a thing . The value addition is slowly going up and that would be somewhere around 10% .

Dipen Shah: So, I think the average realizations could sustain at the current level because most of these are kind of longer -term in nature ?

P.L. Murugappan: Yes, yes, long -term in nature.

Dipen Shah: As far as the current year is concerned, we had just a volume growth of 5% to 7% last year . Any indication whether growth could be better in the current year based on whatever you are seeing in the market ?

P.L. Murugappan: Currently, we have about 147 million garment capacity . We hope that we will reach close to that.

Dipen Shah: Sir, you said there is some improvement in demand which could come through , but maybe something specifically Europe and US what trends are you seeing ?

P. Natara j: Sir, generally if you see the China Plus One, everybody we are talking since long and overall, the sentiment is that the customers are looking for a large customer . Another very important issue is the inventory which is a big issue now. So, those who have the working capital capacity, those who are able to keep the inventory level , the customers once they place the

order , they are just keeping the warehouse as they own here.

And whenever they need the shipment , based on that only we have to ship it . So, we have to keep the stock up to the production of the garments. Here, the working capital facility is

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very key at the present situation. Only like having capacity and inventory , storage facility and the working capital facility , this kind of the facilities are key at the present level. This plays a major role. So, large players can grab more orders . So, that is the position. So, KPR is well placed in this area. So, we feel that the future will be good for garments .

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life AMC . Please go ahead with your question.

Naushad Chaudhary : Some clarifications . Firstly, on the cotton side, how much cotton inventory we must be having on the balance sheet as of now, and what would be the average price ?

P.L. Murugappan: Balance sheet date, we have about four months inventory. Now , we have a little more . But the average cost would be somewhere around Rs.54,000 .

Naushad Chaudhary: Secondly, I understand you have mentioned on your opening

remarks that you would wait and watch for the right time for the announcement on the garment capacity expansion. But if at all if you have to do it, how much time will it take you to get your capacity ready to fill the demand, should it be ready within six to eight months, do you have any scope within your existing facility to expand or will it take one and a half to two year like previous Greenfield expansion?

P. Nataraj: So, we have a certain space also in the existing facilities, that is small like five to 10 million capacity we can go with Brownfield. But further if you want to go for a large expansion, we have to plan for the Greenfield. And so, we have past experience in the last 10 years like creating the facility so we can make it in like six to eight months, whatever the size, like 30, 40 million
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garment capacity we can be able to set up. But the main thing here is we have to see how the trend is around the world due to war or various uncertainties. People say some recession maybe there in future. So, with various uncertainties, we are closely watching the market. And again, I know decision is not in our hand. We have to wait and see how the trend goes, maybe I'll say next three months, six months. So, based on that, we have to take a decision.

Naushad Chaudhary: If at all if you announce it, will it be a similar size of the previous capacity, 35, 40 million plus or would it be?

P. Nataraj: Yes, yes.

Naushad Chaudhary: And in the same region?

P. Nataraj: Yes, in the same region.

Naushad Chaudhary: Lastly, on the yarn business, given the demand and spread pressure do you think this is worst now and from here on we should see improvement or do you think it is very difficult as of now to comment on the demand and spread both?

P. Nataraj: Generally, you see the yarn price again, what is the position on the final product as I told just now, most of our exports for the textile products for Europe and US. So, when garment orders improve, automatically the raw material yarn, also will improve. So we have to wait and see. But I can say that the worst is over because cotton prices went up to more than one lakh per candy and they just came down. If we look at the last couple of months, it stabilized somewhere around 60,000 to 62,000. So, we can say that the worst is over, and we hope maybe in the next quarter or two definitely the situation will improve.

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Naushad Chaudhary: Any comment you'd like to make on your retail brand, FASO, how is it doing, you had so

me ambitious target for FY24, are we on track to achieve that?

P. Nataraj: Yes, we have the target and almost we are moving towards, it except during the COVID time when we started the same time and it was a little tough time and in the last six months we are pushing it to cover even the earlier time what we lost and we hope that we can achieve as per our plan but we are lagging a little behind because of the COVID and other issues, and we are confident that we can push it to the track.

Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.

Prerna Jhunjhunwala: So, just wanted to understand the opportunity in the garment segment as this China Plus One opportunity is still there and very active and various other countries are still facing issues on maybe some or the other factors. I'm just trying to understand a large player like you why are we waiting for

demand improvement to happen and stuff because otherwise we can do capacity expansion and place our capacities much better than a smaller company. So, just wanted to understand the thought process on what is leading to a doubt where the demand will not come in the next six months ?

P. Nataraj: No, no , you see that one year back the China Plus One was very interesting and a lot of orders are flowing in . But after that, a lot of uncertainties are happening around the world like there's some region the war is going on and the garments in this region , Tirupur and even KPR were the major exporters to Europe . And Europe you know very well that Europe is most affected because of this war. And even the people's purchasing pattern
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itself has changed. So, from a passion to basic needs they have moved like that because of the gas problem , power shortage the power cost has gone up manifold in Europe. Every human being when the basic needs they struggle , their full attention will be on this. So, they will think fancy or a passion will be the next . So, that kind of situation is there . So, we are very cautious, and we don't want to just invest hundreds of crores, and anything happens , so we don't want to put the investment and keep it idle or struggle for getting orders and all these things. So , when the situation becomes the worst or something like unnecessarily investing on this and we should not get into trouble. So, we can say that we are a little more extra cautious. So, that is only the reason we are waiting for .

Perna Jhunjhunwala: Generally, as per your experience of so many years in the industry, how much time does an improvement in consumption generally take in such kind of scenario . We've been through many recessionary cycles.

P. Nataraj: Recessionary, we can say, but the war scenario and all, I think we are first time facing this kind of situation. So, it is very difficult . So, we can assume, but we should not go wrong . So, that is a reason we are waiting for that, that's why I told. We can predict, but it cannot go right . So, it's better to wait and see for some more time.

Perna Jhunjhunwala: Second question is FASO . What is our thought process there and how are we moving ahead on that business?

P. Nataraj: Because we started in the state and we moved into southern states , now, we are actually moving to pan India. So, this is what we plan at the beginning. So, we are moving as per our plan . But the only thing was due to COVID and other issues, it was a
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little bit time lag , almost , one to two years lost in that , and we are aggressively pushing it , and we hope that maybe we are running behind that and as our team and marketing team and technical team , we are pushing it fast to catch up this time maybe in a couple of years what we lost in that. So, we hope that we can reach as per

our plan.

Perna Jhunjhunwala: Can we assume that the brand could be Rs.100 crores brand in the next two years ?

P. Nataraj: We also hope to do that .

Perna Jhunjhunwala: Sir, last question on your spinning business . This vortex spinning that you have announced , is it a better profitability business than your current spinning or is it the same margin business ?

P. Nataraj: Almost margin will be the same , but one thing we can say is that cotton has high fluctuation in the price , ups and downs is there and mainly we use viscose fiber. So, the fluctuation will not be

there , we can say the stable margin without high risk like cotton .

Perna Jhunjhunwala: The demand is also improving in the viscose segment , right?

P. Nataraj: Yes, yes.

Moderator: The next question is from the line of Monish Ghodke from HDFC Mutual Fund. Please go ahead .

Monish Ghodke : Sir, our sales to Europe is around 60%. So, what would be the split between mainland Europe and the UK ?

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P.L. Murugappan: UK would be somewhere around 15%, balance will be other European countries.

Monish Ghodke: So, 15% of the 60% ?

P.L. Murugappan: Yes.

Monish Ghodke: Europe and North America are almost equally large garment markets . What is the reason that we are so strong in Europe but not as strong as North America like if I compare even Australia which is a very small market , our share is 14% whereas North America which is a larger market, we are just at 20% ?

P.L. Murugappan: American business some three , four years back when we expanded the business . Otherwise, we are in Europe almost .

Now only we are expanding our businesses to other regions like the US , Australia and all . We hope that in the coming period the share will increase .

Monish Ghodke: On our yarn and fabric business , what would be the split between domestic and export?

P.L. Murugappan: Almost domestic only.

Monish Ghodke: Sir, what would be our typical yarn realization ?

P.L. Murugappan: The current quarter is about Rs.265 per Kg. Fabric is about Rs.310 per Kg.

Monish Ghodke: Sir, this cotton prices if I'm looking at trends of past few months, it's around Rs.60,000 a candy . You said our procurement cost is 53, 54. So, why is it lower – are we buying some different quality cotton ?

P. L. Murugappan: No, it is Rs. 62,000 to Rs. 63,000, not Rs. 52,000.

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Monish Ghodke: Sir, last question. Generally, the textile and garmenting industries say that we don't have FTA with you; that's why we are not benefiting. But we have FTA with Japan and Korea. Why, as an industry, our share is not that strong in those countries?

P. Nataraj: Since the beginning , the product what we are making is to the Europe and the US. The Japanese market is niche market, not volume based. So, it depends on how you make the product.

Suppose one company or one region makes volume based and few players make only niche garments, and in this region if you see that mainly Tirupur region where most of the exporters where entire Tirupur is making more than Rs. 30,000 crores of export are mostly on volume based. That is the main reason we are towards Europe and the US . Still, we also do a small volume but the quantity will be very less. It is for the small players having 100 to 200 machines, those people can go for niche market. Large volume if you want, we have to have a larger size factory and we have to go to these kinds of markets .

Moderator: The next question is from the line of Gnanasundaram S. from Spark Institutional Equities. Please go ahead.

Gnanasundaram S: Sir, sorry to be harping on this again, but just in terms of the garment capacity, we have done about 135 million pieces this year and our capacity is about 157. There is a minimum room for about 18% with the kind of growth that is left out in term

s of

capacity. And typically, the large facility that we have at Chengapalli took us about 14 months in terms of gestation. So, when could we really expect this in terms of you getting confidence? Because you illustrated to a lot of positive facts coming out of this expansion into North America or in terms of larger players gaining share. So, why is this really not imbibing K.P.R. Mill Limited
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confidence in us to go for a capacity expansion right now? Are there labor related issues?

P. Nataraj: No, this is not.... Already the Chengapalli unit is a larger size unit. To ramp up a factory of this size takes time where we have to meet both order booking as well as the training of the labors. So, we have to go in a phased manner only. We cannot go all of a sudden. If it is a small factory like 100 -200 machines, we can make it in a couple of months or so like that. With a larger capacity size, we have to train the people. At the same time, we have to meet the customers' delivery schedule. That's why ramping up happens like that. As you said, 12 to 14 months. Once the ramping up is over, then we can think of further expansion, and as already said, the uncertainty in the market, we have to consider that also before taking a decision for the expansion plan. That is the present situation.

Gnanasundaram S: So, it's got nothing to do with labor availability or in terms of labor attrition?

P. Nataraj: No, that is not an issue at all.

Gnanasundaram S: Sir, just another bookkeeping question. Can you just give us the split between the numbers of yarn and the fabric business as well as your sugar business?

P. L. Murugappan: You want the production or sales?

Gnanasundaram S: Sales.

P. L. Murugappan: Yarn sales is about 19,000 tonnes. Fabric sales is about 2,000 tonnes.

Gnanasundaram S: And the sugar business, sir?

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P. L. Murugappan: Sugar business, the sales is about 1 lakh tonne. Ethanol sales is about 2,38,00,000 liters.

Gnanasundaram S: Just another bookkeeping question. This year, our garment production is about 133 million pieces and the sales was about 128 million pieces. Is it purely a timing issue in terms of order pickup or have there been cancellations?

P. L. Murugappan: As MD explained to you, now the shipments are happening on the basis of capacity. They wanted us to produce and keep the stock ready for shipment. Once they give the shipping schedule, we have to ship it. They are keeping the warehouse in our factory. As and when required, it is getting exported. So, we are keeping about 2 months' production as the stock.

Gnanasundaram S: And just one follow-up. Has this changed? Because earlier they used to give us a 6-month order book. Now that has come down to 3 months. Are there changes in terms of the order book schedule?

P. L. Murugappan: No, the order book is more or less the same, only shipping schedule.

Moderator: The next question is from the line of Akshay from Canara Robeco Mutual Fund. Please go ahead.

Akshay: Two questions, sir. First is just on the realization per piece. This quarter also, it is around Rs. 211. And you did allude to that it's partly a function of say 10% is because of cotton price and 10% is because of the printing technology, etc. But the cotton prices have corrected. So, what if the realizations come down? How should we look at the realization? Can it go back to Rs. 140 or

Rs. 160 or this Rs. 200 would continue?

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P. L. Murugappan: Sir, cotton prices earlier used to be about Rs. 35,000 to Rs.40,000. Now, it is about Rs. 63,000 to Rs. 64,000, around Rs.65,000. Realization-wise, we are not expecting any downturn because almost the cotton price is about 50% higher than the normal level. We expect it to be the same. The peak cotton prices

were there in the last year for about 2-3 months only, not full year. That does not have an impact on this.

Akshay: So, is it fair to assume that this Rs. 200 should continue going forward also?

P. L. Murugappan: Yes, we are expecting that it will be more or less at the same level.

Akshay: Sir, the second question is on the sugar business. At least except UP, there are concerns that the yield and recoveries on the lower side in Maharashtra and Karnataka. How do you see the FY24 numbers? Can we expect a similar number or there will be some hit on the top line and even on the margins if you can guide for FY24?

P. L. Murugappan: FY24, it's too early to predict because it is more of a monsoon-based business. We hope that things will be good. Because the rain last year was good and sowing was also good, we expect that things will be normal this year in North Karnataka.

Akshay: Any color if you can provide from the crushing season that has just ended from where if you can give some inference?

P. L. Murugappan: Current year crushing information you want?

Akshay: Yes, sir, if you can help with that.

P. L. Murugappan: 26 lakh tonnes we have crushed.

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Moderator: The next question is from the line of Shradha from AMSEC. Please go ahead.

Shradha: Can you give me the volume numbers for yarn and fabric? Can you give the revenue numbers in rupees million for yarn and fabric? And the split of ethanol and sugar?

P. L. Murugappan: Yarn quantity is about 19,000 tonnes and fabric is 2,000 tonnes. Yarn revenue is about Rs. 500 crores and Rs. 70 crores in fabric. Sugar, about 1 lakh tonnes is sales and Rs. 327 crores is the revenue. Ethanol is 2,38,00,000 liters and Rs. 155 crores is the revenue.

Shradha: What is the sugar inventory we are sitting at as of this quarter?

P. L. Murugappan: Close to about 1 lakh tonnes.

Shradha: The new sugar ethanol capacity that is expected to be commissioned, that will be operational in the next cycle of October to January?

P. L. Murugappan: It is not a new sugar capacity. It is ethanol capacity. It is expected to come into operation from next season, i.e., from October.

Moderator: The next question is from the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari: Sir, my first question is on the.... We are expecting some large orders to come in after the FTA which we signed with Australia. Any comments, any color that you can throw on those?

P. Nataraj: Already we are doing with one customer. After the FTA, now order flow has increased. We import raw cotton also from

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Australia. Generally, for import, duty is there from Australia. The

import duty is removed because of the FTA. So, import also started. We will see the improvement in the future, both the raw material import as well as order booking also.

Pratik Kothari: Sir, my second question is on the production numbers which we expect to do this year from 133 million to about 147 -150 million.

Given the near -term pressures that we are seeing in the consumer market of US and Europe, where is this confidence or optimism coming from? What are we seeing or how are we getting these orders?

P. L. Murugappan: We have an order book for about 6 months from now. The next order cycle will start sometime in June -July. Inquiries and discussions are going on as per the expected levels. We hope that the business will do well.

Pratik Kothari: So, the current order book that we have booked for the next 6 months gives us the confidence that we will do this 150 odd million production?

P. L. Murugappan: Yes. We also expect that the worst in Europe is more or less over. Now they are coming back to normal. We hope that things will improve.

Moderator: The next question is from the line of Biplab Debbarma from Antique

Stock Broking. Please go ahead.

Biplab Debbarma: Sir, you mentioned that yarn realization is around Rs. 256 per kg. At the current cotton rate, the cotton yarn spread is coming around INR 80 per kg. Is this a normal level? I thought normal level would be something else, around Rs. 110 to Rs. 120 per kg of cotton yarn spread. What will be the ideal cotton yarn spread for you?

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P. L. Murugappan: Whatever you said is right. We hope that things will improve from the coming quarters.

Biplab Debbarma: What would be the ideal cotton yarn spread?

P. L. Murugappan: As you said, it's about Rs. 110 to Rs. 120 per kilo.

Biplab Debbarma: Sir, the second question is on the new garment capacity of 42 million pieces. What will be the capacity utilization? I am just trying to understand that if you incrementally get orders, do you have enough capacity to fulfill those orders?

P. L. Murugappan: More or less, the capacity is running full. We hope that the production will be achieved in 2 -3 months' time.

Biplab Debbarma: So, if incrementally in the order book in this June -July cycle you see a significant increase, say 10% to 15% increase in orders, would you be able to fulfill? Because, if your capacity is running almost full capacity, then how do you....?

P. L. Murugappan: Yes, we can run it. Capacity is full means full factory is running now. Generally, after full capacity is running, capacity utilization will increase afterwards only. Since it is a new capacity, slowly it will improve production. The labor is also new; the capacity of the people will increase slowly over a period of time. Maybe 3 months to 4 months' time, we will reach our optimum level.

Biplab Debbarma: You have 147 million pieces capacity. Can you produce more than that in terms of garment? Can you go beyond 147 million pieces if....?

P. L. Murugappan: As the MD said, we have some space or brownfield expansion that can be done whenever it is required. We can do some 10

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million to 20 million additional with a small addition of sewing machines and some balancing equipments.

Biplab Debbarma: So, 10 million to 20 million in brownfield; that is what you are mentioning? 10 million to 20 million pieces?

P. L. Murugappan: Yes.

Biplab Debbarma: And the final question is on viscose yarn. You said it is better that it is less volatile. In terms of realization and margin, how much better than yarn? Are you saying that realization would also be better than the normal yarn and margin would be better than the normal yarn? Can you give us some color on that?

P. Nataraj: No, it is not better than normal yarn like that. It is like steady margins because the value addition is steady and the margins also steady. We expect that it will be somewhere around 18% to 20% margin business because we are testing it based on the outcome of this expansion. If everything goes well, we can expand this business also, but we have to see how it comes.

Biplab Debbarma: And what would be the capacity there you will be putting on for viscose? I know the amount, but in terms of metric ton, how much capacity are you putting in?

P. Nataraj: The present capacity is production of 25 tonnes per day.

Biplab Debbarma: For viscose, the new capacity expansion, how much you are doing?

P. Nataraj: That's what I said that 25 tonnes per day is the yarn production capacity.

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P. L. Murugappan: Expected capacity around the new facility is about 9,000 tonnes per annum.

Moderator: The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: The first question I had was on the yarn volumes. If I look at... say last 3 quarters, we are doing less than 15,000 volumes or thereabout. This quarter, the number was high

er. Can you

explain what is the reason for the jump in Q4 yarn volumes?

With that, for the next year FY24 with further ramp up in our garment production, do we expect that yarn volumes will fall further?

P. L. Murugappan: Yes, some small quantity will go to captive consumption. The balance will be sold outside. We were carrying a little more stock during the second quarter and third quarter that was liquidated during the fourth quarter.

Ahmed Madha: Sir, the high inventory on our balance sheet is just because of the high cotton inventories and the 2-month inventory we are keeping for the garments? These are the reasons or there is anything else?

P. L. Murugappan: Yes, there is a reason. Also, some sugar stock is also there. We have close to about 1 lakh tonnes of sugar and molasses for the off-season; that is also there. It is mainly because of the high cotton inventory with a higher price.

Ahmed Madha: In the sugar segment, margins for Q3 and Q4, can you explain what is the key accounting reason or any specific reason why Q3 margins were so high and Q4 margins are low? And also, with that, how much sugar we exported this year?

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P. L. Murugappan: We have exported somewhere around 37,000 tonnes. And the margin during quarter 3 is higher because of most of the sales – export sales as well as the ethanol sales. Sugar sales and other sales are very small. This quarter, the sugar sales is very high. In sugar sales, generally the margins are a little lower. When the turnover is lesser ethanol-based sales is higher means the margin will be higher. Blended margin, we are looking at somewhere around 22% to 23%.

Moderator: The next question is from the line of Vikas Jain from Equirus. Please go ahead.

Vikas Jain: Sir, firstly, I missed your number with respect to.... What was the

yarn segment margin that you said you did in 4Q?

P. L. Murugappan: Fourth quarter is about 10%.

Vikas Jain: Sir, one clarification. While we are not currently committing to expanding our garment capacity, but as the need arises, is there a possibility that we can possibly operate on a double shift in some of the facilities to meet the higher order inflow if at all it happens?

P. L. Murugappan: We feel the single shift capacity operation is doing well. We would like to keep it like this.

Vikas Jain: Sir, one last thing. You did mention in one of the participant's call of the current garment capacity at 147 million pieces. Is it 147 or 157?

P. L. Murugappan: 10 million capacity is in Ethiopia. We want to move it. We are just making an attempt to move the machineries from Ethiopia to here. It is in progress. In India, now we have only 147 million capacity.

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Vikas Jain: When can we expect that 10 million Ethiopia capacity to come here?

P. L. Murugappan: We are also hoping that it will come quickly. We will see.

Moderator: The next question is from the line of Raj Malhotra, an individual investor. Please go ahead.

Raj Malhotra: Sir, I have 2 questions. 1) Why is other expenses and depreciation higher on a quarter-on-quarter basis?

P. L. Murugappan: Depreciation is higher because we have increased the capital expenditure during last year and this year. That resulted in a higher depreciation. In quarter 3, some of the machineries completed their useful lives, so it is little less. In Quarter 4 some of the machineries came into existence, came into operation, so the depreciation increased.

Raj Malhotra: And other expenses?

P. L. Murugappan: Other expenses more of a power cost because during this quarter we do not have any power available from our wind sources and all. So, the power cost has increased substantially that is there is a higher other expenses.

Raj Malhotra: The second question was, is it fair to assume that the next garmenting capacity

expansion announcement is at least 6 months away?

P. L. Murugappan: As MD explained, we are waiting for the situation to come to normal. Then we will decide because we have not yet finalized anything. It will be taken at an appropriate time.

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Moderator: The next question is from the line of Yash Tanna from Ithought PMS.

Yash Tanna: One question on the UK FTA, once India signs the FTA what sort of financial impact do we expect for KPR? Something in terms of numbers, we are 60%, we are well penetrated into the region. How does this help us in terms of immediate financial impact?

P. L. Murugappan: UK we have a few large customers and a considerable size of orders from the UK. Once the agreement FTA is signed we can get more orders whereas the duty is removed then definitely we get more benefit towards better pricing and the higher orders. So, exactly we can't financially quantify it now but definitely there will be very good positivity for the KPR business particularly for the garment business.

Yash Tanna: And one question on the labor front, you mentioned that there's no problem. How do we see scale up if we commission another large plant, how do we see ourselves managing maybe twice

the employee base that we have currently? Are we comfortable doing that and how confident are we for that? Similarly, will we be open to scale up in other geographies where labor availability is maybe higher and it's more accessible? Some of our peers are also looking at that. Do we have that thought process or we will be sticking to our home-ground?

P. L. Murugappan : Labor front we have one of the best practices for our employees and we have both state local employees as well as migrant labors almost more than ten states like Orissa, Jharkhand, UP, Bihar. So, various states people are here and we are providing an excellent facility and in fact KPR is we can say the best labor practices particularly in textiles. We have all kind of facilities,
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even higher education, food facilities, free accommodations all these things we are providing for our employees. They are quite comfortable, and we continue to watch all the situations very well even during COVID time also like where migrant labor was big issue around the country and all of our employees were in our campus even during the lockdown. We provided them salary and free food, all these things. The fully satisfied employees give better performance, so this is what KPR's policy. With this strength we are confident that we can mobilize the people what we require.

Yash Tanna: Yes, we are well aware of KPR's policies and congratulations to you for that. Just one last question on realization. You've mentioned that the realizations you can maintain the realization going forward but with the value addition that we are planning to do what is the scope? Given the raw material situation is actually cooling out a little bit and we have to be competitive to get the market share what sort of a realization improvement do we see over the next 3 to 5 years? If you can comment something on that.

P. Nataraj : It's more based on the raw material cost, more or less value addition side we have done whatever possible and any new technology comes, and new things comes we will be doing it. We hope that we will maintain the margins. Whatever we are getting in the garment business will continue. Whatever opportunity comes we will utilize it.

Yash Tanna: So, maybe a 10% value addition is like a good number to directionally look at?

P. Nataraj : Yes, 10% definitely possible but we are looking at more of a margin what we are getting there.

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Moderator: The next question is from the line of Manoj Bahety from Carnelian Capital.

Manoj Bahety: I just wanted

to stress further on the CAPEX part or capacity expansion part. Unless we are having some negative view for 3 to 4 years because the way I am hearing you that in Europe things are getting normal and you are also pretty confident on your capacity utilization. Just wondering are we running a risk of not having capacity when opportunity because the way China Plus One is happening, the way things are coming to India and the way KPR is positioned even if we put the capacity right now and even if we might have to wait for scaling up for 6 months, 8 months, the cost of having the capacity vis-a-vis not having a capacity and missing the opportunity. Not sure that's how you are evaluating it. Just wanted to understand the thought process of not going ahead when like end of the year we are expecting full capacity utilization and the risk of not having capacity is

clearly visible.

P. L. Murugappan : Yes, we will take your views and we are having some internal discussions in the coming period. We will discuss and we will explain whatever you have said. We will try to reach some consensus among the team.

Manoj Bahety: Second is the way we are expanding at a single location and I fully agree with you, the kind of labor practices, HR practices which KPR has, one of the best class in the textile sector, I would say maybe in the world. But there will be a point of time when there will be a constraint like scaling up and getting the labor at a single location. Is there any discussion of having one more location where you can again create such a big scale? Just wanted to understand is there any thought process or you will stick to the single location only?

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P. L. Murugappan : What we have, the workers are not coming from locally, they're all from various states. So, they're all staying in the campus.

Wherever the location, the people coming from outstations, it doesn't make a big issue. But the same time here in the garment it needs personal attention. If it is in and around it's a factory. So, that lot of other advantages like operational convenience because we have our knitting facilities, processing. Processing government allows only in a particular area like SIPCOT and the transportation or convenience. All these things are a better advantage having in and around the facilities or near to the processing, printing, embroidery, all these things are reachable around 50 -kilometer radius where we have the facilities. This makes a lot of cost saving. Based on that only as you said at this point, we are also thinking seriously because this many of employees we have so every time we are discussing all these subjects so finally, we are taking an appropriate decision.

Manoj Bahety: One last question I have. I'm sure putting capacity is an easy thing but scaling up may require hiring, labor and all those things. Do you think that once you go for a brownfield, right from getting the land putting all infrastructure and labor hiring and everything, are you sure you will be able to do this entire thing in 12 to 14 months or it may take bit longer because already we are having 30,000 employees.

P. L. Murugappan : With our experience we can do it. We are confident.

Moderator: The next question is from the line of Pratik Tholiya from Systematix.

Pratik Tholiya: Just working on clarification, you said 1 lakh ton of sugar that we sold during the quarter, this also includes the export of 37,000 tons, right?

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P. L. Murugappan : Yes, includes.

Pratik Tholiya: So, domestic is 63,000 and export is 37,000.

P. L. Murugappan : Yes.

Pratik Tholiya: This 26 -lakh ton of cane that you crushed that is for the current season or that is for the financial year ending March?

P. L. Murugappan : Current season.

Pratik Tholiya: Can you just help with the realization in t

he sugar? How much

was your average realization in the domestic and export market during the quarter?

P. L. Murugappan : It's a combined realization only, it's about Rs. 32.40 paisa per kg.

Pratik Tholiya: In ethanol what was the average realization?

P. L. Murugappan : Rs. 65.33 paisa.

Pratik Tholiya: Ethanol during the quarter is 2.38 kilo liter that you've done that

is entirely through juice?

P. L. Murugappan : Yes it is, during the season. It's entirely through juice.

Pratik Tholiya: For FY24 what percentage of your production would be via juice and what would be your molasses? How much would you be planning to do through molasses?

P. L. Murugappan : It is 50 -50. We are planning for about 10 crores liters of ethanol for the year. The 5 crores would be from juice and 5 crores would be from ethanol.

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Pratik Tholiya: Lastly, we are also talking about we are hearing about this El Nino and lower monsoon and since Karnataka largely would be rainfed. How are you seeing the ground level picture in terms of how much canes you expect to crush in the next season and what could be your recovery rates for the next season?

P. L. Murugappan : We are expecting a normal monsoon and normal crushing. Let us see because generally this one year before situation only prevail in the next season. Last year's monsoon was good, so sowing is very good, so we hope that it will be a normal year.

Pratik Tholiya: For this current sugar season what was the recovery rates for you?

P. L. Murugappan : Since ours is a composite unit you cannot exactly measure the recovery. We hope that it will be somewhere around 11%.

Pratik Tholiya: 11%, this is after diversion to ethanol or at gross level?

P. L. Murugappan : It's at gross level.

Pratik Tholiya: Just lastly one request, since now your sugar business is also expanding and becoming big and the overall profitability also.

But I don't see any mention of your sugar at least the volume numbers and all you can share on the PPT so that we can save time on the calls discussing the numbers and we can have more strategic level discussions.

P. L. Murugappan : Certainly, we will do that.

Pratik Tholiya: Just a request maybe you can have a few slides on the PPT with all the volume numbers?

P. L. Murugappan : Yes, we will do it.

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Moderator: The next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas.

Kaustubh Pawaskar: Most of my questions have been answered. Just from the margin front so this year overall margins we have seen at around 21.4% and in the past, you have guided that if your garment business margins are around 25% and sugar business margins are close to 25%, your margin trajectory would be somewhere about 23% to 24%. So, just on that front where do you see your margins going ahead over the next 2 to 3 years?

P. L. Murugappan : Garment and sugar margins expected to remain the same line only and only the spinning margin was little fluctuating. We hope that it will settle during this year.

Kaustubh Pawaskar: So, this year overall spinning margins were how much?

P. L. Murugappan : 17%.

Kaustubh Pawaskar: Full year 17% and what is the comfortable level of margins historically you have achieved?

P. L. Murugappan : In spinning business?

Kaustubh Pawaskar: Yes.

P. L. Murugappan : It will be somewhere around 19% to 20%.

Kaustubh Pawaskar: Can we expect that to happen this year considering?

P. L. Murugappan : Yes, we hope.

Kaustubh Pawaskar: So, this year we should expect margins to recover a bit on a year-on-year basis?

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P. L. Murugappan : Yes.

Kaustubh Pawaskar: In terms of revenue growth, you have always guided double digit kind of a revenue growth but considering the situation now and what 6 months of w

hate ver the scenario what you are looking at, do you expect your overall revenue growth would be in low double digit or we should expect it to improve?

P. L. Murugappan : Hopefully in double digit.

Moderator: The next question is from the line of Aman Madrecha from Augmenta Research Private Limited.

Aman Madrecha: Could you throw some light on the arrivals of cotton this season because the news we are reading is that the farmers are holding the cotton so how has the arrival this season? And could you please highlight on how we are getting affected because the Indian cotton is trading at a premium with international cotton. Could you please highlight both these things?

P. L. Murugappan : The cotton arrival now up to April we can say that approximately 200 lakh bales have come compared to last year. Last year by this time was around 250 lakh bales. So, 50 lakh bales is behind this year and people believe the production will be almost same like last year. Maybe the farmers are holding back additionally some 50 lakh bales. This is the general market view, and we hope that's the reason the price is a little higher level, a little above the 60,000 -64,000 level. Whenever cotton price breaches 60 and goes down below 60 immediately farmers are slowing down their bringing into the market. Almost like the farmers are now controlling the prices so that's what the present situation and the world market are both prevailing at the same level almost there may be Rs. 1,000 plus or minus between domestic K.P.R. Mill Limited

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cotton and international cotton. Only difference is , in India there's 11% import duty is there. That's why it's not viable now to go for the import cotton. So, that is a present situation.

Aman Madrecha: Can we say that there will be no cotton shortage in the country, right?

P. L. Murugappan : Yes. The record shows even the various associations and CAB the government like almost recently announced around 330 lakh bales is the production, expected production and t he consumption was a little lower compared to the previous year. So, cotton is available. That is what the government report as well as the various associations also says.

Aman Madrecha: Could you highlight how the spinning industry is operating in the country? Are the spinning mills operating at almost optimal capacity utilization or they are still operating below the optimal capacity utilization?

P. L. Murugappan : Even till now operating at below the standard level because in the last 6 months the cotton price of course touched 1 lakh and slowly it was falling down whereas cotton yarn price also falling down but the yarn demand was little slow in the past 4 -5 months. Because of that mills also slowed down their production. I hope this is still may be like around say 10% to 15% lower than the normal level.

Moderator: Thank you. That was the last question. I now hand the conference over to the management for closing comments.

P. Nataraj : Thank you. KPR is well equipped with the high -tech integrated facilities, enthused workforce, progressive business model and empowered by strong performance track record, loyal customer base and drive for enhancing value for all stakeholders will keep K.P.R. Mill Limited

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its growth in line with the expected level. So, with this we thank you all once again. Thank you.

Moderator: Thank you. On behalf of Batlivala & Karani Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

K.P.R. MILL LIMITED

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10.08.2023

The Listing Department

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National Stock Exchange of India Ltd

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Sub: Transcript of the Conference Call held on 04th August, 2023.

Ref: Our intimation dated 05.08.2023 - Filing of Audio Recording

In continuation to our intimation under reference and in compliance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find the attachment, the transcript of the aforesaid

Conference Call as received from the Concall service provider.

Please take the same on record.

Thanking you,

Yours faithfully,

P. Kandaswamy

Company Secretary

Encl: As above

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"KPR Mill Limited

Q1 FY '24 Earnings Conference Call "

August 04, 2023

MANAGEMENT : MR. P. NATARAJ – MANAGING DIRECTOR – KPR

MILL LIMITED

MR. PL. MURUGAPPAN – CHIEF FINANCIAL OFFICER –

KPR MILL LIMITED

MR. P. KANDASWAMY – COMPANY SECRETARY – KPR

MILL LIMITED

MODERATOR : MR. ABHISHEK NIGAM – BATLIVALA AND KARANI

SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the KPR Mill

Q1 FY24 Earnings Conference Call hosted by Bat livala and

Karani Securities, India Private Limited. As a reminder, all

participant lines will be in the listen -only mode and there will be

no opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference

call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Nigam from Batlivala and Karani Securities India Private Limited.

Thank you and over to you, sir.

Abhishek Nigam: Thank you, Lizann. Hi, everyone. Thank you for joining us for KPR Mills first quarter FY24 Earnings Conference Call. Today we are joined by Mr. P. Nataraj, Managing Director for KPR Mills, Mr. PL. Murugappan, Chief Financial Officer, and Mr. P. Kandaswamy, Company Secretary. And now, without any further delay, I will hand it over to Management for any opening comments. Over to you, sir.

P Nataraj: Thank you, Mr. Abhishek. I am Nataraj, Managing Director, KPR Mill Limited. Very good evening to everyone. I welcome you all for the KPR Mill Limited first quarter earnings call for the financial year 2023 -24. The global economy is facing uncertainty due to geopolitical tension, elevated inflation and banking system interruption in certain countries. Despite the above, the Indian economy remains silent, supported by its strong economic fundamentals, retaining fastest growing economy status.

Currently, all sectors of textile industry are going through a rough patch. The main causes are the sluggish demand in major importing countries on account of inflation, unstable price of KPR Mill Limited
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domestic cotton, low arrival of cotton in the market during peak season, import duty on cotton, increase in energy cost, piling up of inventories, severe competition from competing countries, etc. But going forward, the situation is improving as exporters are slowly but steadily getting orders.

However, we are happy that irrespective of the difficult market scenario, KPR could maintain its performance because of its vertically integrated facilities, increased revenue and profitability from sugar segment, stimulated by the favorable ethanol market, have been supporting our growth trend continuously.

As announced in the earlier calls, to generate additional revenue, an exclusive vortex spinning mill at an outlay of INR100 crores is established that will be completed in the current quarter. The processing and printing expansion at INR50 crores will be over in the current quarter. The rooftop solar plant at INR50 crores has been commissioned already.

The ethanol capacity expansion at INR150 crores will be completed before the coming season and also to improve the quality and productivity of spinning we are modernising the spinning division with a total outlay of INR150 crores. All these growth initiatives at a total outlay of INR500 crores will result in improving our performance further. With these opening remarks, the floor is now open for question and answer session. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is in the line of Pratik Kothari from Unique Portfolio Managers, please go ahead.

Pratik Kothari: Hi, good afternoon, sir, and thank you. So my first question on the garments, if you can highlight where is it that we are signing KPR Mill Limited
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new orders, and what will be the realization for the new orders that you will be getting?

PL Murugappan : Sir, our approach is steady only. We are getting, as you know,

we are in presence in Europe, US, and Australia mainly we have small share in Asia also. Currently our realisation is about INR185 per piece.

Pratik Kothari: And new orders that could be coming in would also be at similar range or lower?

PL Murugappan : Expected to be similar range. Because of this yarn price reduction, there would be some impact. Maybe INR5-INR10. Otherwise, expected to be in the same level.

Pratik Kothari: Correct. And what would be our production target for this year? Reach there about 150 million?

PL Murugappan : Yes, we are hoping to reach 150 million.

Pratik Kothari: Correct, and given the MD sir spoke about some improvement, I mean some early signs of improvement in demand, we had spoken about some brownfield capex that we intended to do.

So, I mean, is the improvement good enough for us to go out and do that capex or not yet?

PL Murugappan : We have not yet decided. We are just waiting for the things to improve.

Pratik Kothari: Correct. This is for the brownfield, right?

PL Murugappan : Yes correct.

Pratik Kothari: Correct. And sir, what would be the cotton yarn spread currently?

PL Murugappan : It is about 12% now.

Pratik Kothari: 12% and usually we have mentioned that a sustainable.

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Management: Yes, about 17%, 18% now it's about 12%.

Pratik Kothari: Okay, thank you and all the best .

Moderator: Thank you. The next question is from the line of Biplab

Debbarma from Antique Stock Broking, please go ahead.

Biplab Debbarma: Good afternoon and thank you for taking my call. So I was just calculating on the garment production. So we had a production of 35.36 million pieces of garment in the first quarter. And if we assume at this rate we'll produce, then we'll be producing around 141 million pieces for the entire year. And if you see our capacity, minus the Ethiopia , there are 147 million pieces. That transfers to our capacity of more than 90 %, around 95 %, 96%. So should not we be investing in expanding the garment capacity, or our future order book is weak or we anticipate mutate both in garment. What is the reason that despite such high capacity utilization we are not taking any steps to increase that capacity in government sector?

PL Murugappan : Sir, as MD explained to you in the opening remarks itself, the market is facing lot of issues especially the European and US markets. So just we want to settle these markets to reasonable extent to take further calls. In US I think it is more or less coming out of this decisionary trend but Europe still is facing because Europe being a large buyer of our product we want the things to settle. It is not a matter of question of investing it is a matter of getting a decision based on the external environments.

Biplab Debbarma: Okay, okay. And, sir, we saw that textile segment which is in lower revenue Q on Q and year on year. Sir, what could be the reason of that? Is it because of lower volume or lower realization?

PL Murugappan : Sir, basically the lower realization in yarn.

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Biplab Debbarma: Lower realization in yarn?

PL Murugappan : Yarn, yarn, yes. Quantity is more or less the same, but the realization from yarn is lower because the cotton price has come down sharply because of that the realization has come down .

Biplab Debbarma: Okay, and what would be the revenue potential from this new

capacity expansion and from when do you think this new capacity would start generating revenue?

PL Murugappan : Sir, we expect it to be sometime in the second half of this year.

Biplab Debbarma: And what would be the revenue potential at full capacity?

PL Murugappan : It would be somewhere around INR140 crores to INR150 crores per annum. Solar already started its production processing and printing will generate another INR 50

crores net of the business.

It's more of a value addition for our own consumption . Ethanol capacity will generate revenue of closer to about INR 200 crores. That will be off-set to the molasses that is sugar and molasses production when we are off-set against ethanol production. So net revenue will be around INR100 crores.

Moderator: The next question is from the line of Rushabh from RBSA Investment Managers.

Rushabh: I just want to understand for the next 2, 3 years regarding your capex plans. How are you looking at textile versus cotton segment, sir? Is there a policy? Because now currently last one year ethanol has done very good for us. So will you be investing more there? Or how would you look at investing in both segments as a policy?

P. Nataraj : Sir, I see our core business is textile. So we are concentrating more on textiles, and the present situation is a little bit volatile, particularly just before what we said about the European, the market has to improve. So we are waiting for that.

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And by the way, the ethanol also that we are expanding our capacity in the first unit of the sugar, where in the beginning, we put a small size. And we have doubled the capacity now. So further, again, we have to balance this how much we are crushing and how much sugar output and this much of amount of investment and how long we can run the factory with the molasses to produce ethanol. So these all technically, we have to assess these things.

So once this ongoing project is completed, our capacity will be around 5 lakhs litres per day and put both the units together. So it means approximately 250,000 lakh litres of each unit. So then we have to see balancing the other ethanol production with the molasses output.

So based on that, maybe like once it's completed, we can study technically. And what could be that there's some further increase in ethanol, of course, ethanol is more margin in the south of the sugar, ethanol, molasses . So we will decide at the end of the next season.

Rushabh: Is there an inter benchmark for get sort of INR100 of capex?

I understand as per the market condition benchmark were a maximum limit, you might be ready to put in ethanol segment. Is there any -- you follow anything?

P. Nataraj : No. There is no benchmark in fact. We have to study because we are producing ethanol from the sugar syrup also.

And how much syrup we can utilize and how much ethanol, we can run with it, till the next season. Because producing more molasses, we cannot run the ethanol till the next season. So we have to calculate accordingly. This technical issue we have to study. What is the crushing capacity of the sugarcane? based on that, we have to calculate and invest.

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Rushabh: Okay. So just one last question. On the garment realization, if I have to take a three years to four year view, currently, we are at INR180, INR190 per piece. Can you take -- go to INR 250 or is

that trajectory that we look should we look for KPR, the high - value added segment?

PL Murugappan : There it is like per piece realization is only for calculation purpose we are working on 20% margin kind of the business, not per piece realization basis . More quantity also we will do, but basically we are looking at 20% margin in this business.

Moderator: The next question is from the line of Perna Jhunjhunwala from Elara Capital.

Perna Jhunjhunwala: Sir, what would be the garment order book today?

PL Murugappan : It's about 1000 crores madam.

Perna Jhunjhunwala: Okay. And if -- what will be the breakup between yarn and fabric business revenue and volume?

PL Murugappan : Yes. Yarn sales is 14,600 tons. Fabric sales is about 2000 tons.

Perna Jhunjhunwala: Okay. And value?

PL Murugappan : Yarn revenue is INR 391 crores a

nd fabric revenue is about

INR 69 crores.

Perna Jhunjhunwala: Understood, sir. And sir, how was the margins in various segments, yarn and fabric versus garments?

PL Murugappan : Yarn and fabric is about 12%. Garment is about 27%.

Perna Jhunjhunwala: 27%?

PL Murugappan : Yes.

Perna Jhunjhunwala: Sir, what led to this increase in the garment business margin? Because if we look at...

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PL Murugappan : Because of the lower inventory cost, because it is inter unit transfer at arm's length when the yarn prices are lower, our margin from garment would be higher.

Perna Jhunjhunwala: Okay. Understood. So going forward, we should look at sustainable margins only and not these margins? That is...

PL Murugappan : Regular margins yes, yes.

Perna Jhunjhunwala: Okay. And sir, ethanol margins, if I want to see this time the EBIT margin of 26% in 1Q. Is it fair to assume that ethanol margins are around 35% EBITDA level?

PL Murugappan : We are not calculating separately for ethanol margin. The sugar margin expected to be around 25%.

Perna Jhunjhunwala: 25% blended?

P Nataraj: Blended, yes.

Moderator: The next question is from the line of Preeti Choudhary from Green Portfolio. Please go ahead.

Preeti Choudhary: So I have a couple of questions. So first one is, so India signed the FTA with Australia. But if I look at our numbers, our percentage of business from Australia has been falling. So I just wanted to know, has it grown in absolute terms and has the company taken any steps or are in talks with customers in Australia for building the business in the country?

PL Murugappan : We are supplying to the major players in Australia. Our business to Australia is more or less in line. So, there is no drop in the business. If you look at the last quarter and this quarter, it is about 12.3% kind of the business.

Preeti Choudhary: Okay. All right. And the next question is, so what is the update of bringing in the machineries from our Ethiopia plant?

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PL Murugappan : We are trying to bring it back

Moderator: The next question is from the line of Monish Ghodke from HDFC Asset Management Company.

Monish Ghodke: Sir, ethanol sales volume, what is the split between B -Heavy or C-Heavy route only?

PL Murugappan : This quarter is more or less a sugar syrup we have done B-Heavy route only..

Monish Ghodke: Okay. And sir, after the expansion, will it be the B -Heavy only?

PL Murugappan : No, no. During the season, it is from Dassera. The off season it will be from the B heavy molasses .

Monish Ghodke: Okay. So how will the split look like for full year?

PL Murugappan : Full year. It's 50% -50%, 50% from syrup and 50% from B -Heavy Molasses.

Monish Ghodke: Okay. And sir, how easy or difficult is to expand our crushing capacity in terms of regulatory approvals and all?

PL Murugappan : It is depending on the area where we are situated. Presently, the areas are more or less saturated we cannot expand the capacity as it is. So we are fully running now.

Monish Ghodke: Okay. And strategically, like is it our focus area that over time, we have to increase the crushing capacity? Maybe if I see 5 years down the line, will our capacity be more or it will be the same?

PL Murugappan : See – you have to wait and see. Because business decision has to be taken, depending on the availability and other things, we will take a decision based on the inputs of various other areas.

Moderator: Thank you. The next question is from the line of Chinmay Shah, an individual investor.

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Chinmay Shah: Congratulations to the management, for the good set of number. So my question is our current quarter inventory levels, how much it is? I mean in terms of

PL Murugappan : It is about

out three months inventory we have sir.

Chinmay Shah: Okay, so now we having for three months inventory, okay fine. And sir now for our Europe section, do you think in current after July month or so, is it some good inquiries or something like that?

PL Murugappan : Garment inquiries are good only. We are having reasonable order position. We hope that it will improve from here on.

Chinmay Shah: Okay, because generally we book our half yearly orders?

PL Murugappan : Yes, more or less we book them.

Chinmay Shah: Okay, okay, sir. Thank you so much.

Moderator: Thank you. The next question is on the line of Roshan from B&K Securities. Please go ahead.

Roshan: Yes, thanks for the opportunity. Do you expect the import duty on cotton to be ...

Moderator: Sorry to interrupt Roshan, your audio is sounding very muffled.

Roshan: Thanks for the opportunity. So, do you expect the import duty on cotton to be removed anytime soon?

PL Murugappan : We have represented through the associations. We hope that something will happen.

Roshan: And after the signing of FTA with Australia, are you seeing any increase in transactions in terms of the new order from -- Australian orders?

PL Murugappan : As of today , the business is good. We hope that it will improve.

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Roshan: And can you provide some clarify on the UK FTA?

Management: UK FTA is in the advance stage. We hope that it will happen during this year.

Roshan: That's all from my side. Thank you.

Moderator: Thank you. The next question is from the Biplab Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma: Thank you for taking my call again. Sir, on the capex that you have planned, of the planned capex, how much capex yet to be incurred? I think in ethanol yet to be incurred, how much to be incurred going forward capex?

PL Murugappan : Approximately about INR 200 crores need to be spent.

Biplab Debbarma: And remaining have been spent?

PL Murugappan : Already been spent Yes.

Biplab Debbarma: And sir I missed the margin, yarn margin this quarter. How much was it?

PL Murugappan : It is 12%. Yarn margin is 12% and the garment margin is about 27%. And the sugar is about 27%.

Biplab Debbarma: And one final question is on the ethanol and sugar, so sir, once this new ethanol capacity starts its commission, so on a steady state basis, what will be the yearly total sugar production and ethanol production in terms of volume?

PL Murugappan : Volume wise, we are looking at 2 lakh tons of sugar and 12 crores liters of ethanol.

Biplab Debbarma: How much is in ethanol?

PL Murugappan : 12 crore s liters.

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Biplab Debbarma: Okay. Thanks that's all.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique portfolio managers. Please go ahead.

Pratik Kothari: Thank you again. Sir, if we look at overall garment sales globally for the last 5 years, 10 years, it always used to be a 2%, 3%, a low growth market, but because of our internal efficiencies, because of our cost and cost efficiencies that we could bring to the table. We had captured a large part of market share and we grew much, much faster globally. So in that context, what are we, I mean, we understand that the demand is sluggish, but from our side internally, what is it, or what are the actions we are seeking to be able to capture the global market share?

P. Nataraj : See, we are continuously updating our quality parameters .

We have the integrated facility, and we are adding the value addition, wherever it is required. That's why just now we have increased our processing capacity with printing and all these things. So, wherever there is customer requirements , based on that, we study the market. Even new customers are coming in, whatever they suggest will also be

considered towards a balancing the present capacity.

So, not only the capacity wherever is possible no like adding the equipments for the value additions. So, like that kind of things gives more interesting for the customers. So, once they come in, they see the facilities and all these things, even during the lean time also, we are able to procure our required orders. So that is why we are very closely monitoring the market, the global scenario, and within the factory itself, what kind of facilities what we have to create.

So, all these things we are continuously monitoring, our all the teams like marketing team, technical team, quality team. So, these all hand -in-hand they interact. So, we have to be on the

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job, we have to be on the market on a daily basis, 24 hours around the clock, so like that. So, this is the way we are working.

So, that's why we are able to run with -- even in this situation also, with better efficiency and better productivity.

Pratik Kothari: Correct. In terms of cost efficiency or the price point at which we are able to cater to the customers, I believe we would be one of the best globally. Correct?

PL Murugappan : Yes, you are right.

Pratik Kothari: Thank you and all the best, sir.

PL Murugappan : Thank you.

Moderator: Thank you. The next question is in the line of Jinesh Shah, an Individual Investor. Please go ahead.

Jinesh Shah: Yes. Hi, sir. So my question was regarding FASO. Can we have some numbers, like quarter -on-quarter, how we've been growing FASO, like over the last few quarters? And what are your future plans for FASO, how are we planning to scale it up?

PL Murugappan : Yes, currently the quarter -on-quarter basis we are close to about INR 10 crores per quarter. We hope that it will increase from the current year onwards. We are putting all our efforts, we are launching the product across India now. It will be completed during this year. We hope that it will reach to double digit in the coming period .

Jinesh Shah: Any marketing plan that we have for FASO, anything in place?

PL Murugappan : Sir, all the efforts are made, we are on track sir.

Jinesh Shah: Are we present online as well with FASO like we are tying up with someone Amazon or Flipkart, Myntra, etcetera?

PL Murugappan : Yes, we are available sir.

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Jinesh Shah: Thank you so much. That's it from me.

Moderator: Thank you. The next question is from the line of Sameer Deshpande from Fairdeal Investments. Please go ahead.

Sameer, your line is in the top mode. Please go ahead. As there's no response from the current participant, we will move on to the next. That is on the line of Awanish Chandra from SMIFS. Please go ahead.

Awanish Chandra: Congratulations, sir, on a good set of performance in a very difficult situation. Sir, recently we have heard many negative news, especially from the South market, where spinning companies said they are facing so much issues. So, how is the situation now? Any commentary on that?

P. Nataraj : Sir, generally we see that the mills, particularly standalone spinning mills, of course, what you are saying is right, we are suffering because of the cotton price where the highest in the last year reached more than 1 lakh and suddenly within a couple of months it has fell down below 60,000 and those who have larger inventory or even according to the size of the mills the spinning sector is fragmented where mills are having even 5,000 spindles to 5 lakh spindles.

So the small mills, when they have the, you know, more inventory by borrowing money from bank, so once the cotton price become half of that, so half of their working capital just vanished. So those mills, those who are financially running with tight planning, they are all suffering. So this is a fact. And the thing is that during t

hat time, some people were in the expansion mode also, whether small or large, they were in the expansion mode where they are further invested in construction work and even machinery they bought and all these things.

So because of that, when suddenly the price become half of what it was around INR1 lakh, so people has to suffer for want

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of working capital, in other parts. So this kind of situations never happened in fact in the last, we can say one or two decades. So it was totally unexpected and also there was some chances of by the time the import, but the import duty also imposed 11% on import of cotton so that door also closed. So because of that the mills were really suffering. And some people anyway they have trying to come out and some people are already still suffering, so this is the situation now.

Awanish Chandra: Okay, sir. So sir, when we see this kind of news and when we look at the RNG export data for several months, it is declining hereon declining in each and every month. And when we see,

your commentary also that you are wait and watch mode before making a firm decision on the capex, so all it indicate that we are going for some slowdown because your numbers are very good as compared to what we see generally in RNG export data and still you are not deciding? So anything which we are not able to understand this?

P. Nataraj : Sir, you see, that's why I said, everybody is suffering and we are, with difficulty and with all our strength, what we have inherent strength, with that we are able to stand. But you know, we don't want to take risk by investing huge sum at this situation, because it is not only the cotton, I told particularly about the stand -alone spinning mills. But you know, because of the various things that happened globally, particularly because of the war, our major export is to Europe . And the European market is really, really suffered heavily due to the war and we all know well about even you know, their, even the power cost, that is electricity cost has gone very high, 5x, 6x . So people slowdown in their purchase also. They are concentrating only on the essential requirement like food and all the other things they so stopped or slowdown there even the fashion goods. So all these things are we are also very closely

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watching all these things. So at this kind of situation, we don't want to keep stock ready for the next season and we don't want to struggle. So that's why we want to be, maybe we are little extra cautious, but this is not in our hand or it is not within India, it is a global market. So it is better to wait and see. So that is, maybe you may think we are conservative, we want to be a little more conscious. So that is why we are looking for.

Awanish Chandra: Understood sir. One last thing sir. Our cotton inventory, last time you guided four months, it is still four -month inventory?

PL Murugappan : It is three month inventory now.

Awanish Chandra: Okay. And average price of that three month inventory?

PL Murugappan : It will be somewhere around INR 60,000, INR 61,000.

Awanish Chandra: Okay sir. Thank you very much for answering my questions.

PL Murugappan : Thank you.

Moderator: Thank you. The next question is on the line of Perna Jhunjhunwala from Elara Capital. Please go ahead.

Perna Jhunjhunwala: Thank you for the opportunity again sir. So this year is again going to be a difficult year as per your commentary given the uncertainty in the global scenario as well as the volatility in cotton prices. So how do you see, I know you don't give guidance, but if qualitatively you could help us understand how we should look at it from this year or from next three years point of view, how we should look at CPR lineage?

PL Murugappan : So far, the market is a little difficult. But we hope

that it will be improving from here on. We see good opportunities this year also in the second half of the year. We are seeing some improvement in the market. And going forward, we are very bullish about the textile business.

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Perna Jhunjhunwala: Okay, so could you give me some color on the customers, how they are -- a new customer, existing customers, new customer addition I meant, to just understand how we are grabbing this opportunity of global apparel market?

PL Murugappan : Yes, we are adding some clients in US and slowly we are improving the presence in US. If you look at our presence from last year to this year, we are 22% in US. And we hope that it will improve in the coming years.

Prerna Jhunjhunwala: That's helpful sir. Thank you.

PL Murugappan : Thank you so much.

Moderator: Thank you. The next question is in the line of Monish Ghodke from HDFC Asset Management Company. Please go ahead.

Monish Ghodke: So this quality control order which will be effective for cotton bale procurement. So what impact will it have on your cotton procurement strategy?

P. Nataraj : Sir, just now government has announced, we have to wait and see what kind of the policy or the system or the control, any checklist or how government is going to monitor all these things that we have to see. This only just week before government has announced, so still there is already all the association has wrote letter to the Ministry, because in India, it is not fully organized. If you see the ginning factories are located in the villages and so far so many years, there is no system like that.

And suddenly bringing like this, if they impose what kind of the system it will be, what kind of the quality control, how they certify it, so that all these things we have to wait and see, there is any parameter on this based on that. Now it is almost like half season now. The season starts in October and say, almost like next couple of months is there. So we have to wait and see, how

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the system works out. Even generally it is not -- just only the announcement came, there is no, what kind of, who is going to monitor, how it is certified, all this still we don't know.

Monish Ghodke: Okay. And so one more question, this PM Mitra Park, I mean in Tamil Nadu, Tamil Nadu state, it will be in Virudhunagar. So assuming, I know the demand is sluggish now, but assuming the demand improves over time, and you, I mean, if you want to set up excess capacity, will you be looking at PM Mitra Park?

P. Nataraj : We are looking for that also, but still again, I know that they announced, even previously two years back announced and just six months back they announced the location, but still the land is not identified and government said they will create all infrastructure facilities, but you know, so it seems it also will take a long time. Only location they identified and procurement of land and creating facilities I think it may take maybe at least a couple of years, so we have to wait and see.

Monish Ghodke: Okay, sir. Thank you.

Moderator: Thank you. The next question is on the line of Akshay Chheda from Canada Rebeco Mutual Fund. Please go ahead.

Akshay Chheda: Yes, sir. Just one question on this yarn side. So how is the market shaping up? I mean, you did explain the challenges that the smaller players in the south are facing, so does it benefit us in anyway? I mean can you expect the margins to improve in the second half 16-17 or it's a fastest target? Just this was one question.

PL Murugappan : We hope that the margins will improve in the second half, and we are seeing some improvement now. We hope that it will restore level of margin in the second half.

Akshay Chheda: Okay, thank you.

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Moderator: Thank you.

the next question from the line of Deepak Patel, an individual investor. Please go ahead.

Deepak Patel: I heard that the Tamil Nadu government switch all textile industry to enter in technical textile. So are we reached around that?

P. Nataraj : No, sir, technical textile market is very small, and a few people have invested in that. And they're still not in a big way, improving

in India. So we have no idea of going into technical textile presently.

Deepak Patel: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Biplab Debbarma from Antique Stockbroking. Please go ahead.

Biplab Debbarma: Thanks management, for taking my call. Sir, I'm looking at the outlook that we have in the outlook, just one question there.

Because on the growth number in the previous quarter con call, you said around double -digit growth in FY '24. So do you think, you would be able to achieve that double -digit growth in FY '24 then?

PL Murugappan : Sir, it is very early to judge , but the growth will be there. We are hoping that, it 10% to 12% growth will be there. That's what we hope.

Biplab Debbarma: Okay. And one final question on this is that, in the textile capex that you have done, and -- what would be the incremental revenue that we expect from this Vortex spinning capex in textile segment?

PL Murugappan : Vortex spinning will give a revenue of clo se to about INR140 crores to INR150 crores on an annual basis.

Biplab Debbarma: And that would have a similar kind of margin like yarn?

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PL Murugappan : The margin is more or less stable base, it is like yarn. Cotton Yarn margin is re duced, but it will be a stable margin.

Biplab Debbarma: So that means 15%, 16% kind of margin but stable?

PL Murugappan : 15%, 16% kind of a margin, but it will be stable.

Biplab Debbarma: Okay. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Abhishek Nigam. Please go ahead.

Abhishek Nigam: Yes, hi. Thank you so much. Sir for FY '24, you said, you've given a target of say about you know, 150 million pieces odd for garmenting. So for FY '25, is there a numb er that you have in mind? Like say 170 million ballpark? So that's my first question. And the second question is, can you do that with existing capacity? Or do you really have to set up something like some kind of Brownfield expansion to do that?

PL Muruga ppan : See, we are waiting for the things to improve. If we are doing it, it will be done through a Brownfield expansion.

Abhishek Nigam: Okay, so with existing capacity, you can only go up to 150 million or so?

PL Murugappan : 150 to or so.

Abhishek Nigam: 150 to or so. Okay. And in case you do a Brownfield expansion, how much time does it take to set it up?

PL Murugappan : Yes, it may be two months, three months time.

Abhishek Nigam: Two months, three months. And we already have, like the location and all for that?

P Nataraj: Yes, locations and factories are the existing facility. O nly, we need to add lines and increase the capacity, yes.

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Abhishek Nigam: So two months, three months fo r setting it up and then another three months, four months maybe to sort of ramp it up?

P Nataraj: Yes, that's right.

Abhishek Nigam: Okay, sounds good. Nothing else from me for now. I think operator, there is one question in the queue.

Moderator: Yes, sir. The next question is from the line of Sundar from Avendus Spark. Please go ahead.

Sundar: Thank you. So, thanks for the questions. But one clarification that I needed very specific to the last question that was raised in terms of Brownfield. I th ought, this time in the annual report we had mentioned that, we are doing a Brownfield, which can add

about 10 to 20 million pieces. Will that not come through FY '24, sir?

PL Murugappan

: Sir, it is on pipeline. We are just waiting for the market to improve. Once it improves, we can do it. The machines are all available off the shelf. We can do it. Because facilities are all available, we can do it.

Sundar: Right, and the required amount of labor, that's also available easily?

PL Murugappan : That can be added.

Sundar: Right, sir, and just one hypothetical question here. Is that last time, when we did that addition at Chengappalli for

4200 hundred pieces, we did it at about a 14 month time frame.

Now should we assume a similar time frame if we were to do another Greenfield?

PL Murugappan : Greenfield, maybe it will take.

Sundar: It will take about 14 months - 15 months, sir?

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PL Murugappan : Yes, because the construction will take about six months - seven months, the ramping up will take about nine months to one year.

Sundar: Right, sir. Fair enough. That's it from my side. Thank you.

Moderator: Thank you. A reminder to the participants, anyone wishing to ask a question, may please press star and one. As there are no further questions, I now hand the conference over to Mr.

Abhishek Nigam for his closing comments.

Abhishek Nigam: Yes, thank you so much everyone for joining this call and many thanks to the management for the insights. And, sir, if you have any closing comments to make, then that would be great.

P. Nataraj : Thank you, Abhishek, once again. KPR has a positive outlook for the future with its key strengths, and we believe that, we will be able to deliver better performance in the years to come with the strong support from all the stakeholders. Thank you. Thank you all once again.

Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of Bativala and Karani Securities India Pvt. Ltd., that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Abhishek Nigam: Thank you.

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"K.P.R. Mill Limited
Q3 FY24 Earnings Conference Call "
February 06, 2024

MANAGEMENT : MR. P. NATARAJ – MANAGING DIRECTOR –
K.P.R. MILL LIMITED
MR. PL. MURUGAPPAN – CHIEF FINANCIAL OFFICER –
K.P.R. MILL LIMITED
MR. P. KANDASWAMY – COMPANY SECRETARY –
K.P.R. MILL LIMITED

MODERATOR : MR. ARCHIT JOSHI – BATLIVALA AND KARANI
SECURITIES INDIA PRIVATE LIMITED

KPR Mill Limited
February 06, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the KPR Mill 's Q3 FY24 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr . Archit Joshi from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Archit Joshi: Thanks, Liz ann, and good evening, everyone, and welcome to the Q3 FY24 Earnings Conference Call of KPR Mill Limited.

On behalf of B&K Securities, I welcome all participants and the management of KPR Mill. We have with us today,

Mr. P. Nataraj, Managing Director; Mr. Murugappan, Chief Financial Officer; and Mr. Kandaswamy, Company Secretary. Without further ado, I would like to hand over the floor to Mr. Nataraj for his opening remarks, post which we can have a Q&A round. Thank you, and over to you, sir.

P. Nataraj: Thank you very much, Mr. Joshi. Very good evening to everyone. I welcome you all for the KPR Mill Limited third quarter earnings call for the financial year 2023 -24. During the nine months ended 31 -12-2023, overcoming the challenges, KPR has generated a consolidated revenue of INR 4,418 crores and net profit of INR 592 crores. The factors that impacted the financials during the period were: fall in cotton prices resulted in reduced selling price for yarn during the quarter. And fall in yarn margin due to subdued demand at international markets.

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Garment shipments were held up during the month of December due to recent cyclones in Tamil Nadu, that is both in Chennai and Tuticorin port areas. The third one is government ban on use of sugar juice for manufacture of ethanol to regulate sugar price. However, the current quarter appears to be encouraging and our modernization and expansion plans would support our growth level. Strong financial position and comfortable cash flow continues.

With this opening remarks, the floor is now open for a question -and-answer session. Thank you.

Moderator: Thank you. Ladies and gentlemen we will now begin the question and answer session. The first question is from the line of Rushabh from RBS A Investment Managers.

Rushabh: So just want to understand on the textile front, if KPR has to remain competitive in the foreseeable future, would it be possible by having units only in Tamil Nadu, sir, despite having government incentives in other states and higher transportation cost for raw materials. We just want to understand from here in the next three to five-year perspective.

P. Nataraj: No, this is happening over a period of time. And that every state is offering some incentives and all. But being in Tamil Nadu, where the major hub of the textile industry, you know about Tirupur is the largest hub of our hosiery manufacturing. Of course, if we see that in Gujarat has offered the last 10 years, a lot of incentives, and like other states also coming up. And still, we are able to compete because of various other advantages like climatic conditions and the labour availability and technical knowhow availability, skilled people.

With all this, not only the incentives, with various other factors are there, especially if you see when the climatic condition is very crucial, whatever is even the raw material, the productivity

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and the quality of the product depends on various aspects. So

with this, we hope that is still here, the share of Tamil Nadu is still competitive to other areas.

Rushabh: Okay. And secondly, sir, have you added any major customers in the last, say, last six to nine months for garments or maybe in the -- especially in the US markets, if you could add some colour, sir?

PL Murugappan: Yes. We have recently added Walmart to our portfolio. And also, we added GAP.

PL Murugappan: Recently, we have added Walmart as our customer for US exports. And also, we have increased the volume to GAP under various both the US and European destinations. We have added GAP as a major customer during this quarter for the destination both in US and Europe.

Rushabh: And sir, last question. Post this government decision on restriction of sugar for ethanol, how would the decision-making change for incremental capex in this segment? Would you still be preferring to invest there? Or are you preferring investing in our core textile business only? How does this change your decision making, sir?

PL Murugappan: So presently, we are not looking to invest in sugar because it's more of a license-oriented business under the area and other things. Now we are concentrating more on the textile business. In case of any good opportunity, we may do it. Now we are not doing anything.

Rushabh: Okay. Any update on the expansion plans, sir, for garments?

PL Murugappan: Garments, now we are expanding the processing capacity with an outlay of INR250 crores, along with the solar power plant INR100 crores with the capacity of about 25 megawatts.

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With this our solar and wind capacity will reach to about 100 megawatts. We already have a capacity of about 100 megawatts.

Now we have a 61.92 MW of wind power. And as well as we have completed the project to whatever we have announced last year, like vortex INR100 crores expansion are already being done. And solar INR50 crores last year announced were

completed. Ethanol INR150 crores expansion project of the existing sugar mill has been completed.

And now the capacity of the existing sugar mill ethanol capacity increased from 120 KLPD to 250 KLPD. Processing capacity expansion of printing and processing with the outlay of about INR 50 crores has been completed. Printing monetization has been completed.

Rushabh: Okay, sir. And sir, this Bangladesh wage hike issue, how do you see -- are you getting more inquiries from there? Do you see it playing out in benefit of India in the next couple of years? How do you see this Bangladesh issue, sir?

P. Nataraj: For that we have to wait and see because everywhere here and there, some issues are raising, like China Plus One, of course.

It will take some time. Similarly, Bangladesh labour issue.

Previously, the labour cost was low. And now it is slowly increasing like year-on-year, like that. And we had to wait and see. And definitely, over a period of time because the Bangladesh garment export has tremendously increased over the last four to five years.

So naturally, everywhere, when the growth is there, then the demand for this kind of -- the cost will also increase.

So definitely, in the future, I mean, you see that, as you said in the last -- in the next two, three years, it may be at par with India, so which will be an ultimately advantage to for India.

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Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital.

Prerna Jhunjhunwala: I would like to understand the demand scenario of garments and yarn today. How is it shaping up post the quarter and how it was during the quarter?

P. Nataraj: Demand wise both yarn and garments are good. And currently we are carrying garments order of about INR 1,100 crores.

Yarn movement is good

. We are seeing a growth in yarn demand.

Prerna Jhunjhunwala: Okay. And any impact of Red sea issue to European export?

P. Nataraj: We are not seeing much of an impact on Red sea issue because most of our exports are all FOB basis, mainly garment.

Yarn, we are not exporting much. So we are not seeing much impact on this side.

Prerna Jhunjhunwala: Sir, any increase in cost for container prices, if it is borne by you and also daily we are hearing delay in the increase in the lead time of shipping. So how are customers reacting to this?

Are they asking for speeden up their orders to ship fast or they are okay with the delay? I mean just trying to understand the customer behaviour in this scenario.

P. Nataraj: We have to wait for some time. Presently, there is no request from the customer for early shipment and all. We are ready for it, but we are not seeing it. We hope that the things will settle.

Otherwise, we will see it in the coming period.

Prerna Jhunjhunwala: Okay, okay. And sir, we are almost operating with full utilization in the garments business. What are your thoughts on the garment division growth over the next three to five years?

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P. Nataraj: We hope that 10% to 12% growth will be there from the garment business over a period of next three to five years' time.

We will plan...

P. Nataraj: Yes, we are planning for a growth of about 10% to 12% in the garment segment. We hope that we will plan our expansion accordingly.

Perna Jhunjhunwala: Okay. Okay. Any update on brownfield expansion that you were thinking about meanwhile?

P. Nataraj: Yes, we are doing it slowly, maybe completing it in six months to one year time.

Perna Jhunjhunwala: Okay. Okay. Understood. And sir, in terms of the sugar directive. Just wanted to understand the impact on us with respect to juice-based ethanol manufacturing and be heavy molasses, how does it change for you or there is no major change?

P. Nataraj: The B-Heavy molasses processes not affected much, only ethanol from juice government has stopped substantially. But sugar prices presently is a little higher than the earlier period. So we hope that whatever benefit we get from ethanol, we will get it from sugar also.

Perna Jhunjhunwala: Okay. Understood. The last two bookkeeping questions. Just what is the breakup between yarn volume and fabric volumes for the quarter and Q2 as well?

P. Nataraj: You want the production or sales realisation?

Perna Jhunjhunwala: Production and sales volumes.

P. Nataraj: Yarn production 23,000 tons. Yarn sales is 14,000 tons. Fabric production, 6,000 tons. Fabric sales, 2,000 tons. Garment production 37 million.

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Perna Jhunjhunwala: Sorry, I couldn't hear you, sir.

P. Nataraj: Garment production 37 million. Garment sales is 33 million.

Perna Jhunjhunwala: Okay. Understood. And sir, what has been the margin for yarn and fabric and garment business in the quarter?

P. Nataraj: Yarn and fabric is about 15%. Garment is about 27%. Sugar is about 27%.

Moderator: The next question is from the line of Vikas from Equirus.

Vikas: Sorry if it is a repeat question. But sir, can you explain the reason why it has been a very sharp decline in the garment realization, of course, one major factor would be the drop.

But do you see this 160, 165 levels as a steady-state level or it should improve from here on.

P. Nataraj: Basically, sir, garment realization reduced from the earlier level to this level because of the reduction in the cotton prices. So the cotton prices have come down sharply from INR 1lakh to INR 60,000 per candy resulted in lower realization.

Vikas: Definitely, sir, I got that point. But even on a quarter-on-quarter basis, also there's like around 7% broadly of all

. Of course,

some part of it is because is it some product mix change also that has led to this fall?

P. Nataraj: Because of two things. One is the cotton price reduction.

Second one is, it is a garment type. It is winter garment and the summer garment. Summer garment used to be a little lesser and the winter garment would be a little higher because of the weight.

Vikas: Then, do you expect like this again \$2 kind of realization being on a steady state or about the value-added thing that you talked about in the last couple of quarters. Is that actually playing out?

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Or we should like build this only going ahead in terms of realization?

P. Nataraj: We have already done the value addition processes. It is going on well now. We have increased the printing capacity last quarter. So both are going well. We hope that it will improve a little further in the coming quarters.

Vikas: Okay. Okay. But still 180 kind of a number is comfortable or it

should not be there?

P. Nataraj: We're comfortable with 180 kind of a number.

Vikas: Okay. Okay. The second question, sir, with respect to sugar volumes. Of course, there has been some -- even that has led to this drop in the volumes, but with -- and I believe you said that we have started with our ethanol this plant also, right? Is that a...

P. Nataraj: Ethanol plant also commissioned, yes.

Vikas: So in 4Q, we will see full earning of that new capacity as well, right?

P. Nataraj: Yes, yes. Correct.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.

Biplab Debbarma: I just wanted to know on the garment capacity expansion, greenfield, we are still watching -- what's happening in Europe?

Does the status continue?

PL Murugappan: Garment expansion, we already started the brownfield expansion. It is in the process. We can do somewhere around 30 million garments in the brownfield. We hope that we will be completing it in six months to nine months' time. By the time, we will be completing the processing capacity also. We will plan to further expansion during the time.

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Biplab Debbarma: What would be the size of that brownfield expansion, sir?

PL Murugappan: It's about 30 million garments we can do.

Biplab Debbarma: So by FY26, we'll be producing in that capacity?

PL Murugappan: Yes, yes, we can reach to that level.

Biplab Debbarma: Okay. And my second question is on the numbers. So the FY24 numbers, would we expect to be better than FY23 numbers?

PL Murugappan: In the coming year, we are expecting that it will be better than the FY22 numbers because of the increase in capacity and the increased volumes. We have expanded our capacities across the divisions, the garments, spinning, sugar and ethanol everywhere. So we hope that the sales numbers will be better in the coming years.

Biplab Debbarma: Okay, okay. And my last question is, I think it's a repeat but I could not get it. Sir, on the ethanol, sir, ban is on ethanol sugar juice. So that is fine and it won't have any impact on the molasses. But we have just commissioned a new ethanol production capacity. All this ban on sugarcane juice have any impact on our ethanol production?

P. Nataraj: Yes. Ethanol production will come down to that extent, some juice. 40% percentage of ethanol production may come down during the season. Otherwise, we will be producing ethanol from B-Heavy molasses and C-Heavy molasses but continues to be there. The sugar prices comparatively better than the last year. So we hope that it will be compensated whatever loss we are expecting from the ethanol production market.

Biplab Debbarma: So what kind of had there been a juice directly on production of juice and there had been no ban. And now in the new scenario, what would be the difference in the

revenue from this?

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I mean there is certainly some impact or there is no impact on revenue?

PL Murugappan: Revenue somewhere around INR200 crores of revenue will be impacted because sugar and ethanol is different processes.

There will be about INR200 crores of revenue impact...

Biplab Debbarma: INR200 crores or INR400 crores?

PL Murugappan: Yes, INR200 crores.

Moderator: The next question is from the line of Sunil Kothari from Unique

PMS.

Sunil Kothari: Congratulation for starting this call again, and I hope it will continue. Mr. Nataraj just requesting you to explain the way we are investing in processing and printing. And what type of value addition over time it will help us to improve our realization and profitability. If you qualitatively can talk something more on that?

P. Nataraj: Yes. Yes Mr. Sunil, thank you. And you see, in textiles, processing is the very, very critical link. And when we have, anyone having processing as a strong network, so it is very comfortable for the expansion in the value additions. So what we have already the processing. So we have expanded our garment capacity. So now the existing processing capacity meets our garment production capacity now.

So further even as I told, the garment capacity can be increased comparatively, the processing is much difficult because a lot of the pollution control norms and various others because it involves more of dyes and chemicals, the water problem issues there and all these things. So for this the approvals of the government and all these things are cumbersome processes. So once we establish that, then the further expansion in garment or value additions is much easier.

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So the processing and as well as printing. Printing also almost similar like there's a lot of involvement, dyes and chemicals and all these things. So that's why now we are planning to go for the expansion in the processing capacity. So already, we have announced that we are investing around INR250 crores in the existing place. We have already the land available. So we are planning to go for expansion.

And similarly, the expansion take one to 1.5 years. For garment, it will be a maximum six to eight months. So that's why we are well ahead. We have already started the expansion of the processing. Once the processing is strong enough, so then we can continue to expand in the garment capacity. So we are well planned and we are going ahead with the processing capacity expansion.

Sunil Kothari: Okay. Great. So sir, this expansion of processing in printing capacity will help us to meet the demand of one greenfield capacity also of the garment, right?

P. Nataraj: Yes, yes, sure. Definitely.

Sunil Kothari: Okay. Great. Mr. Murugappan one more question is, are we revising any guidance on production of ethanol and sugar, is still not or whatever numbers, if you can provide us for this current year total quantity we are planning to produce?

PL Murugappan: The current year wise we may not have much of a change. We will be reaching to our target.

Sunil Kothari: Sir, your voice is echoing. If you can use handset...

PL Murugappan: Because of the sugar production, sugar volume will be higher and ethanol volume will be lower in the coming year. This year the volumes more or less in line with the budgets.

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Sunil Kothari: Okay. And sir, will it reduce our profitability or realization maybe next season because of this lower ethanol and higher sugar production?

PL Murugappan: Let us wait sir because sugar prices are ruling a little higher than the last year. It will compensate the ethanol losses, whatever we are having in there, we are having in the ethanol from the juice, we hope that it will be compensated.

pensated.

Sunil Kothari: Right, right. And the last question is on this 30 million capacity.

We'll be committing it under a six to nine months brownfield?

PL Murugappan: Yes, yes, we'll be doing it.

Moderator: The next question is from the line of Akshay Chheda from Canara Robeco Mutual Fund.

Akshay Chheda: Just one question, sir, in the opening remarks, you mentioned that shipments were upheld in the month of December due to cyclone in the Chennai and Tuticorin port. Sir, can you quantify in the volume or revenue terms like how much of it we couldn't ship and which will get spilled over in the fourth quarter?

PL Murugappan: So close to about INR100 crores. The 4 million garments were held up. We thought that it will be more during this quarter.

PL Murugappan: It is about 4 million garments.

Akshay Chheda: 4 million garments. Okay. And sir in value terms?

PL Murugappan: Somewhere around INR100 crores.

Moderator: The next question is from the line of Pratik Tholiya from Systematix.

Pratik Tholiya: Sir, in the sugar business if I see your third quarter volume, so your sugar volumes are abnormally low. And one of your plants, KPR Mill Limited
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I think, did not get any quota for sugar sale. So any specific reason for that?

PL Murugappan: Basically, sugar release is government decision. We do not have a stock in there. We don't have a stock in the second...

Pratik Tholiya: Yes. So I will repeat my question. I just wanted to understand what was the reason for a lower sugar volume during third quarter, especially one of your plants did not receive any quota.

PL Murugappan: The particular plant do not have a stock -- the starting of a sugar cane crushing. That's why they have not given the release order in the first month. The second month onwards, we are given some small quota. This month they have given the quota. From next month only, they will be giving the regular quota.

Pratik Tholiya: Okay. So what is the closing inventory, sir, for sugar as of December -- 31st December?

PL Murugappan: It's about 58,000 ton.

Pratik Tholiya: Yes, sir, I was just asking what is the closing stock of sugar as of 31st of December? And what is the inventory value, sir?

PL Murugappan: It is about 58,000 tons, sir.

Pratik Tholiya: 58,000 tons. And, sir, at what price?

PL Murugappan: Sir, it is at cost?

Pratik Tholiya: Sir, what is that number?

PL Murugappan: See, generally we're not discussing the cost.

Pratik Tholiya: Okay. And sir, in the case of ethanol, since now juice is not allowed, are we looking at other feedstock like grain, maybe rice or maize?

PL Murugappan: No, sir, we are not looking at.

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Pratik Tholiya : Okay. So we'll continue to go for B -Heavy and C -Heavy.

PL Murugappan: Yes.

Moderator: The next question is from the line of Prerit Choudhary from Green Portfolio.

Prerit Choudhary: I just had one question. So we saw a significant rise in our inventory. Okay. Let me just go again. So we have -- we saw a significant pile up in our inventory. Is this all because of the sugar that the quota that we didn't get during the quarter or does that also include some of the textile segment also?

PL Murugappan: No, no. It's a sugar production, whatever we've done during these last two months, we have a significant stock.

Prerit Choudhary: All right. And we plan to sell it over the next couple of quarters, that would be the...

PL Murugappan: Yes, it is before the next season, the sugar will be get liquidated.

Prerit Choudhary: All right, next quarter. That's it from my side.

Moderator: The next question is from the line of Aditya Surana from AMSEC.

Aditya Surana: I just wanted to know the yarn and fabric sales volume from...

PL Murugappan: Sales volume of yarn is about 14,000 tons, and fabric is 2,000 tons.

Moderator:

ator: That is from the line of Biplab Debbarma from Antique Stockbroking.

Biplab Debbarma: Sir, based on the brownfield capacity expansion, what would be the garment capacity by FY26?

PL Murugappan: The brownfield expansion, it will be...

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Biplab Debbarma: Including everything, what would be the...

PL Murugappan: 177 million yarn -- 177 million garments.

Biplab Debbarma: Okay. And sir, keeping the ethanol production from juice ban in mind. So say, going forward, what would be the effective sugar production and ethanol production capacity next year?

PL Murugappan: So production capacity, already we have completed the project and now it's about 5 lakh liters per day. It will be the same for the next year also.

Biplab Debbarma: How much liter can you produce now based on this capacity?

PL Murugappan: The current year, we are planning to have about 7 crore s to 8 crore s liters of ethanol.

Biplab Debbarma: Even after the ban from juice.

PL Murugappan: Yes, yes.

Biplab Debbarma: And sugar?

PL Murugappan: The sugar is expected to be somewhere around two lakh tons.

Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital.

Prerna Jhunjhunwala: I also wanted the yarn and fabric sales volume please -- value?

PL Murugappan: Yarn sales -- value or volume, madam?

Prerna Jhunjhunwala: Value, value. Volume is given already.

PL Murugappan: INR 355 crores yarn sale value. Fabric value is about INR 60 crores.

Prerna Jhunjhunwala: INR 60 crores. Okay. Sir, just taking forward the question of ethanol. You mentioned that this year, you can manufacture

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7 crore s to 8 crore s liters of ethanol. And you had mentioned earlier that the production could be hit next year. Could you just help us understand how much would be the hit for next year?

PL Murugappan: Madam, now we are not producing ethanol from the juice. Now we are producing ethanol from the molasses, B -Grade molasses. Usually, what we will do is during the season, we produce ethanol from the juice, and we produce ethanol from molasses in the offseason. Now we are producing ethanol from the molasses, so we will not have molasses for the offseason. So the production will be less in the offseason period. So it is expected to be somewhere around 5 crore s liters of ethanol.

Prerna Jhunjhunwala: For the entire season, you are saying, the...

PL Murugappan: Production loss would be -- yes, production will be lesser by about 5 crore s liters.

Prerna Jhunjhunwala: Okay. And sir, can you also help you with the cane availability in your facility? How much -- is there any impact?

What would be the cane procurement this year?

PL Murugappan: The monsoon impacted a little in this region. We hope that there will be a 10% drop in the crushing during this year.

Moderator: The next question is from the line of Shradha from Asian Market Securities.

The line for the current participant has dropped off. We'll move on to the next participant the line of Resham Jain from DSP Asset Managers.

Resham Jain: I have two questions. First one is on textiles overall. If we look at the Tirupur market, the news which we hear is that things are not very good, and it is very challenging right now. Are you seeing any green shoots in that scenario because both yarn players as well as several garment players are not doing well.

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And indirectly, it impacts us as well because we sell a lot of yarn and fabric to them. So if you can just explain or give your views around it, that would be very helpful, sir.

PL Murugappan: Actually, if you look at the garment business, now the trend is changing. The large garment buyers are concentrating more on the larger players.

For undisturbed supplies, our comfort levels and other things, lead them to go to a larger player. If you look at our order book, it is all time high now, we are running around INR1,100 crore s of order book, and a lot of inquiries are going around. So the garment -- large garment players are doing well in the Tirupur region, only the smaller player having issue. As you said, there is a little sluggishness in the yarn business in margins, but volume is good. Volume is going well. The margin will be little lesser than the regular margins.

Resham Jain: Understood, sir. Sir, the second question is on sugar. As you mentioned that this year, the overall production will be 10% lower. I'm talking about season. And obviously, there is this mix change. So overall, given the current pricing and all, what kind of impact you see on your EBITDA because your cost per unit, both in sugar as well as ethanol will go up because of lower throughput. So what kind of impact do you expect in the absolute EBITDA versus, let's say, earlier envisaged?

PL Murugappan: We are not seeing much of impact in percentage term. The volume term, there will be some drop. And in value terms, there will be some drops. I say, 10% or 12% of a drop would be there in the value terms. The percentage term, we feel it will be a little higher.

Resham Jain: No, I mean to say absolutely EBITDA.

PL Murugappan: Absolute EBITDA will be some 10%, 12% lesser.

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Moderator: The next question is from the line of Himesh from Purnartha Investments.

Himesh: For the garment business, you said that the realization has dropped because of the drop in the cotton prices. So for next quarter and for next year, do we expect a further reduction in the realization? Or we are at the bottom of the realization? And then you expect any...

PL Murugappan: What all the realization, sir, we hope that it will be increasing in the coming periods.

Moderator: The next question is from the line of Vineeth Lambu from HSBC PMS.

Vineeth lambu: What are the plans for the FASO as a brand or any future growth trajectory? And what are the opportunities you are seeing? And how do you want to scale up as a...

Vineeth lambu: So FASO as a brand, how do you want to scale up the revenues? If you can give us guidance.

PL Murugappan: We want to scale up this brand in India. We are planning to improve the volumes in the South India in a better way now. We have appointed a few more executives in this line. In the North India, we just started. We feel that it will take some time. South

India, we hope that in one or two years' time, we will be scaling up to the range of about INR10 crore s per month run rate kind of a thing.

Moderator: The next question is from the line of Aditya Surana from Asian Market Securities.

Aditya Surana: Just I wanted to know the printing is presently capacity post expansion?

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Moderator: We'll move on to the next question. That is from the line of Monish Ghodke from HDFC AMC.

Monish Ghodke: So this 10% drop in sugar volumes, which you are expecting, this is for the next crushing year or this crushing year?

PL Murugappan: This crushing year, sir.

Monish Ghodke: So sir, the impact in our financials will be felt in this as well as next year, right?

PL Murugappan: Yes, yes. Generally, it will be felt next year only.

Monish Ghodke: Okay. So next year, our sugar EBITDA might be less by 10% to 12% as compared to this year, right?

PL Murugappan: 10% to 12% in the absolute number, not the percentage. Next year, also, sir, it is again a new season will start from October.

We hope that if the season will be good then it will be get compensated.

Moderator: The next question is from the line of Shradha from Asian Markets Securities.

Shradha: Yes. Can you hear me, sir?

PL Murugappan: Yes, please, madam.

Shradha: Yes. So what is -- what will be our printing and processing capacity post expansion?

PL Murugappan: 37,000 tons, madam.

Shradha: Both printing and processing.

PL Murugappan: Yes, yes.

Shradha: And by when do we expect these capacities to get fully operational?

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PL Murugappan: We hope that it will take 18 months to 24 months because the machineries are all imported. The lead time, it is a little higher.

We are in the process of ordering. We hope that it will be completed in 18 months to 24 months.

Shradha: Right. And sir, will it be possible for you to give the volume of ethanol and sugar sale for 3Q?

PL Murugappan: Sugar sales is about 11,000 tons. Ethanol is about INR 2.16 crores lakh liters.

Shradha: And in value terms?

PL Murugappan: Sugar is about INR43 crores. Ethanol is about INR137 crores.

Shradha: And just one last question. Since we didn't host call last quarter.

So would it be possible for you to give the sales volume numbers for yarn, fabric for last quarter as well.

PL Murugappan: Yarn sales is about 17,000 tons. Fabric is about 2,000 tons.

Shradha: And margins for both these units?

PL Murugappan: Yarn is about 17% -- Yarn and fabric is about 17%. Garment is about 27%.

Moderator: The next question is from the line of Vikas from Equirus.

Vikas: So you mentioned that we have added a GAP and also added

Walmart as a customer for the garment segment. So how are the difference from our regular set of customers in terms of volumes, in terms of sizes as well as in terms of realization?

PL Murugappan: Walmart is a very large buyer. It will mix up everything. We will continue to have a \$2 plus kind of a business from both these customers.

Vikas: But then do we expect like a very sharp uptick cost on -- I'm more asking with respect to the ramp -up, is it like the...
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PL Murugappan: As both these orders will help us to increase the ramping up of the new plant we commissioned until last year.

Vikas: So we believe that from -- within like one year's time period, they'll be able to place orders in like full throttle or something like that of -- will you may take some time to ramp up? Or is it like they give it right from the day one?

PL Murugappan: We are in the ramping up, sir. We will be reaching full capacity by the end of this year for these two parties.

Moderator: The next question is from the line of Mehul from 40Cents .

Mehul : I just have one question. What are we supplying to GAP ? And what are we supplying to Walmart?

PL Murugappan: Both the regular and basic garments, sir? T-shirts.

Mehul : T-shirts.

PL Murugappan: T-shirts, night wears.

Mehul : Okay. Are we compensating on margins for these large customers?

PL Murugappan: Compensating means?

Mehul : I mean we are selling them at a low margin.

PL Murugappan: No, no. So it's a regular margin only.

Moderator: We will move on to the next question that is from the line of Deepak from Sundaram Mutual Fund.

Deepak: I would like to know how much cane did we crush in FY23 And how much cane do we expect to crush in this crushing season?

PL Murugappan: We have crushed about 26 lakh tons last season in '23 . In '24, we hope the 10% reduction would be there, we have to see. In

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the middle of the season, we could not be able to estimate exactly.

Deepak: Okay. And sir, just a follow -up question. What would be our gross and net yield for the last crushing season, recoveries I mean to say.

PL Murugappan: Recoveries would be somewhere around 11%.

Deepak: Is it the gross recovery rate or the net recovery rate, sir?

PL Murugappan: Gross recoveries.

Deepak: And sir, one last question. In the 26 lakh tons, which we crushed

in last crushing season, how much was diverted for ethanol production for juice route?

PL Murugappan: Somewhere around 4 lakh tons, sir.

Deepak: Okay. And for the current crushing season?

PL Murugappan: Sir, we have done somewhere around two lakh tons. We have not done the balance.

Moderator: The next question is from the line of Mehul from 40Cents .

Mehul : Sir, who is the largest customer for garments for us in India?

PL Murugappan: We are not supplying anybody to any Indian buyer.

Mehul : Okay. All is export, is it?

PL Murugappan: All are export.

Mehul : And what about yarn, sir? Yarn and fabric?

PL Murugappan: Yarn supplied in Tirupur. It's about 3,000 buyers.

Mehul : Okay. And fabric sir?

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PL Murugappan: Both are same, sir. Whoever want fabric, we supply fabric. And whoever want yarn, we supply yarn.

Mehul : And sir, what is the typical competition which we face in Tirupur

in India locally?

PL Murugappan: A couple of knitwear exports, sir. We have close to about 3,000 exporters in this region from INR 5 crores to say INR 1,000 crores kind of business. If you ask me, everybody is a competitor. So cost is important.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stockbroking.

Biplab Debbarma: Sir, first question is a clarification. So you said by FY26, you would have a garment capacity of around 177 million pieces. Does it include also the 10 million pieces in Ethiopia or that is excluded?

PL Murugappan: That is getting moved from Ethiopia to India.

Biplab Debbarma: So that 10 million pieces it will be moved to India, and it will be added to the capacity, right. Am I correct, sir?

PL Murugappan: You're right.

Biplab Debbarma: Okay. And last question, what would be the guidance for FY24 and FY25 revenue and EBITDA, ballpark some idea what would be the numbers?

PL Murugappan: We hope that there will be an increase in the turnover by about 10% to 12%.

Biplab Debbarma: In this financial year?

PL Murugappan: Yes. On year-on-year basis.

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Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

P. Nataraj: Thank you very much. KPR is well positioned for further growth with its strong fundamentals, increased competitiveness, and ability to meet the changing market trends. So with this, I thank one and all. Thank you very much.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

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"K.P.R. Mill Limited
Q4 FY '24 Earnings Conference Call "
May 06, 2024

MANAGEMENT : MR. P. NATARAJ – MANAGING DIRECTOR –
K.P.R. MILL LIMITED
MR. PL. MURUGAPPAN – CHIEF FINANCIAL OFFICER –
K.P.R. MILL LIMITED
MR. P. KANDASWAMY – COMPANY SECRETARY –
K.P.R. MILL LIMITED

MODERATOR : MR. ARCHIT JOSHI – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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"K.P.R. Mill Limited
Q4 FY'24 Earnings Conference Call"
May 06, 2024
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MANAGEMENT: MR.P.NATARAJ —MANAGING DIRECTOR —
K.P.R.MILL LIMITED
Mr.PL.MURUGAPPAN —CHIEF FINANCIAL OFFICER —
K.P.R.MILL LIMITED
Mr.P.KANDASWAMY —COMPANY SECRETARY —
K.P.R.MILL LIMITED
MODERATOR: MR.ARCHIT JOSHI— BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED
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Moderator: Ladies and gentlemen, good day, and welcome to the K.P.R.
Mill Limited Q4 FY '24 Earnings Conference Call hosted by
Batlivala & Karani Securities India Private Limited. As a
reminder, all participant lines will be in the listen -only mode and
there will be an opportunity for you to ask questions after the
presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing star, then
zero on your touchtone phone. Please note that this conference
is being recorded.

I now hand the conference over to Mr. Archit Joshi from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Archit Joshi: Thanks, Neha . Good evening, everyone. On behalf of B&K Securities, I welcome you all to the Q4 F Y '24 Earnings Conference Call of K.P.R. Mill Limited. We have with us today Mr. P. Nataraj, Managing Director; Mr. P. Murugappan, Chief Financial Officer; and Mr. P. Kandaswamy, Company Secretary.

Without further ado, I'd like to hand over the floor to Mr. P. Nataraj for his initial remarks, post which we can take questions from participants. Thank you, and over to you, sir.

P. Nataraj: Very Good evening to everyone. I welcome you all for the K.P.R. Mill Limited Fourth Quarter earnings call for the financial year 2023 -24. The financial year, '23, '24 was a challenging year for the textile industry as a whole. The fluctuation in cotton prices resulting in lower realization or beyond, reduced the demand from downstream apparel companies, increase in energy cost, piling up of inventories, severe competition from competing countries, etcetera were some of the contributing factors. However, embracing the challenges and opportunities, K.P.R. could achieve considerable revenue and profitability with the support of its integral strength.

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Aggressive

competitiveness, the ability to meet the changing market trend and the supportive garment segment. Its expansion in vortex spinning, strengthening of renewable power resources through rooftop solar power plant and modernization of spinning division to improve quality and productivity further are expected to drive its growth level to the next stage. We are continuously monitoring the textile market conditions still beyond market is under continuous margin pressure and lower demand. In general, garment orders and Tirupur market is lower compared to previous year, but K.P.R. has good orders on hand. The present brownfield expansion is expected to complete during the first half of the current year, we are waiting for the market to improve to plan for further expansion. We are seeing some improvement in the yarn market during the current year. K.P.R. with its unique strength is processed with requisite in growth sector and the ability to mobilize leverage to expedite its expansion plan at any time. With these opening remarks, the floor is now open for a question and answers session. Thank you.

Moderator: Thank you very much. The first question is from the line of Rushabh from RBSA Investment Manager. Please go ahead.

Rushabh: So regards to the African operations, we have had a bitter experience in the past. But recently, we have seen that a couple of entities, including an Indian company, they have acquired manufacturing setups in Kenya and Ethiopia. So how is the situation now in terms of feasibility of doing business there? Is it same or is it better, sir?

PL Murugappan : We have set up the manufacturing facility in Ethiopia, where in the particular region, there were some issues, so we have not proposed to go for further business opportunities in Africa right now. You maybe seeing it in the later.

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Rushabh: But in terms of doing business there, is it feasible now? Or is it committed a problem that you're seeing?

PL Murugappan : Ethiopia is not feasible, because both Europe and the US has withdrawn the tax when we agreed to extend it to Ethiopia.

Rushabh: So what about Kenya or other African countries? Are we open to doing some business there in terms of -- some of our big customers say so, or we are looking at only Indian expansion going on.

PL Murugappan : Now we are looking at Indian expansions only, not looking at the overseas expansion.

Rushabh: Okay. So any new customers we added in this quarter?

PL Murugappan : Yes. We have added a few customers in the US in a smaller way, like BBB. Some of the new customers also in pipeline we expect it to come.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: I have a couple of questions. My first question is, since the past couple of months, there are talks about UK FTA. Now my question is, if FTA does come through, what could be your addressable market opportunity in terms of dollar -rupee term for cotton -based basic knitwear apparel. And are we seeing increased inquiry from existing clients such as Primark or Marks & Spencer or prospective new clients in this regard?

PL Murugappan : Presently, the market is more or less stable, not much of new inquiries are coming. The existing buyers are continuously placing the order and they're taking goods. The order portion is comparatively better than the previous period. We are having an order of close to 1,000 plus kind of order INR1,000 crores plus kind of order position. If UK FTA happens, it will be rather

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advantageous for KPR because we are already in Europe in a big way. It will help us to increase the market share.

Deepak: Okay. And sir, according to what could be the TAM or addressable market, which you are seeing for that cotton -based basic knitwear if that

comes through?

PL Murugappan : It's only the UK. The deal is going to happen in the UK only. The addressable market would be UK only. Then we feel it may increase by another 5%, 10%.

Deepak: Okay. And so moving to second question sir, I have seen that whatever EBITDA margin you have shared in the past couple of years, if I calculate your EBITDA on per piece basis, it has jumped from INR30 -odd to, let's say, INR40 -odd presumably in FY '24. I want to understand, sir, what has caused this delta of EBITDA per piece to move from INR30 to INR40. And is it sustainable? Or will it move back to pre -COVID levels?

PL Murugappan : Sir it is sustainable regards because we have increased the value addition in this segment. We already explained to you like we have introduced full body printing, fabric printing, garment printing, embroideries and other things in the recent past 2, 3 years' time. So slowly, the value additions are increasing in the garment. Even though it's a basic garment, we are adding some value addition then it is resulted in increased margins in the garment segment.

Deepak: Okay. So then it has nothing to do with power consumption cost reduction or gross profit per piece increase. It has everything to do with only value addition?

PL Murugappan : Yes, everything to do with value addition.

Deepak: Okay. Sir, one last question from my end. Sir, what was our total units generated in co-gen for FY '24? And how much was it used for captive consumption in million units?

PL Murugappan : We have produced somewhere around 11 crores units both the wind power and the solar and entirely captively consumed.

Deepak: Okay. So I'm asking specifically for co-gen?

PL Murugappan : Sorry, co-gen, we have produced to somewhere around 32 crores unit. Its unit consumption will be somewhere around 12 crores units for sugar production only, not for the textile production balance is sold in the market.

Deepak: Sir, 32 was full, and I could not hear the captive one?

PL Murugappan : 32 crores units out of which 12 crores units consumed in-house.

Moderator: The next question is from the line of Awanish Chandra from SMIFS.

Awanish Chandra: Congratulation management team on a good set of performance. Sir, my first question is related to garment. So we had 40 million piece production. So can we maintain this run rate? And my related question is the capex you announced for 30 million additional capacity. So will that come into the picture in FY '25, and we will be able to maintain this run rate?

PL Murugappan : Yes, yes, we can maintain this run rate. And we hope that the brownfield expansion is expected to complete in the first half of the year. So second half, we hope it will increase.

Awanish Chandra: Okay. So after -- in the first half, we will have that 30 million additional capacity and we can maintain this run rate?

PL Murugappan : Yes.

Awanish Chandra: This year, we had more million of pieces than the rated capacity. So how much outsourcing we have done or how did we manage this number?

PL Murugappan : Sir brownfield expansion is going on. It is like, it is not a new expansion. Now, in brownfield, we are adding machines because of the production is a little higher.

Awanish Chandra: Okay. And sir, fabric number in rupees and million tons per quarter?

PL Murugappan : Yes. For the quarter, we have produced about 6,861 tons of fabric. 2,285 tons of fabric sold and the value of about INR 66 crores.

Awanish Chandra: Okay, value of INR 66 crores. And sir, whatever we sell outside, everything is processed fabric. We don't sell anything gray fabric?

PL Murugappan : No, we sell only grey. We don't sell only fabric -- processed fabric.

Awanish Chandra: Okay. So outside

sales is grey fabric and captives is processed one?

PL Murugappan : Yes. For our own consumption, we process.

Awanish Chandra: And sir last question, sir any other capex we are planning ethanol or sugar segment or anything on the garment different segment?

PL Murugappan : Right now, we are not planning for any expansion as it is. We will inform a lot of extended programs around now in discussion, we will inform you as and when it gets finalized.

Moderator: The next question is from the line of Rajesh Kothari from AlfAccurate Advisors.

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Rajesh Kothari: A few questions from my side. One, how do you see the overall demand environment from the garment division perspective, if you can give the country-wise Europe, North America, Australia, in terms of the inventory destocking, is it over? And how is the likely season currently what do you see?

PL Murugappan : We are carrying inventory of about a 1-month stock. And presently, the geographical sales is, Europe around 50%. U.S. is about to 20%, Australia is about 15%.

Rajesh Kothari: Yes, correct. I'm not asking the sales, as I'm saying, how do you see the each market in terms of the demand outlook for this...

PL Murugappan : Stable. Target is Stable. Whatever expansion we are doing in brownfield, we hope that it will be met with the demand.

Rajesh Kothari: I mean are you seeing that basically in the first 6 months itself, you were able to run at optimal utilization?

PL Murugappan : For 6 months, we take to complete the project. We booked in the second half of the year, we will run it at optimal.

Rajesh Kothari: Okay. And typically, the optimal utilization generally in the first 6 months, typically, how much one should assume?

PL Murugappan : First 6 months, somewhere around the same model as we have done this quarter somewhere around 40 million garments.

Rajesh Kothari: No. I'm saying, once your expansion project starts, say, for example, from September, am I right? For the...

PL Murugappan : We expect it to complete by September. So from the second half of -- not exactly. From the second half of the year, we hope that the production will come from the new brownfield expansion.

Rajesh Kothari: Correct. So my question is, during October to March, how much do you think you are likely to produce from this new capacity?

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PL Murugappan : Hopefully, somewhere around 45 million garments per quarter.

Rajesh Kothari: 40 million garments per quarter?

PL Murugappan : 45 million garments per quarter.

Rajesh Kothari: Okay. So basically, what we are seeing is. So from 38 right now, your average is around 30, if I am not wrong, correct? From 38 you expect it to go up to 45? 40 to 45, something like that.

PL Murugappan : Yes.

Rajesh Kothari: So in first half before this starts, do you expect 40-some million and then 45 million in the second half, that's how you are seeing it?

PL Murugappan : Yes, first half is somewhere around 40 million and the second half expected to be somewhere around 45 million.

Rajesh Kothari: Okay. And in terms of the overall realization per garment, do you see the new capacity, is it going for more value-added segment?

Or do you think the realizing likely to product mix by and large will remain the same?

PL Murugappan : Remain the same.

Rajesh Kothari: Okay. Understood. And in terms of the raw material prices and margin, how do you see that? Are you getting any inventory right now from that perspective, yarn as well as fabric as well as your key raw materials?

PL Murugappan : Inventory stock, you are asking for?

Rajesh Kothari: Yes.

PL Murugappan : We have a cotton stock of about 3 months. Yarn, on average, it's market -driven. We are having a stock of about 10 to 15 days.
Rajesh Kothari: Understood. Cotton inventory, yo

u have about 3 months?

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PL Murugappan : Three months, yes.

Rajesh Kothari: And are you seeing any significant increase in freight cost? Or is it broadly manageable?

PL Murugappan : Broadly manageable.

Rajesh Kothari: Okay. And in terms of the competition, how do you see the competitive environment? Are you seeing a very tough environment? Or is it by and large -- how do yo u treat the competition right now globally?

PL Murugappan : Globally, competition is tight only on the Asian countries like Vietnam, Bangladesh, China and all competing rigorously. So it is same only.

Rajesh Kothari: I see. So the new...

Moderator: Sorry to i nterrupt you, sir. I request you to come back for a follow -up question.

Rajesh Kothari: This is just last question. So I'm seeing further significant improvement from second half. Maybe this kind of a demand is already tied up with the customer, this kind of supply of the new capacity?

PL Murugappan : No, we won't be tied up in advance. We will do it in the course of the business.

Rajesh Kothari: Got it. Thank you, sir. I will come back in queue.

Moderator: Thank you. The next question is from the line of Am an Agrawal from Carnelian Capital. Please go ahead.

Aman Agrawal: Sir, thank you for the opportunity. Just wanted to get an idea on the EBITDA margin for yarn and garment segment for this quarter.

PL Murugappan : Yarn is about 12%. Garment is about 24%.

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Aman Agrawal: If you can explain the decline in margins like yarn, if I'm not wrong, was 15% in last quarter, right, and garment was 27%. So what is the reason for the decline?

PL Murugappan : Being seasoned, there is a little fluctuation in the cotton pric es.

Aman Agrawal: Okay. The premiums of cotton stock we are carrying, like what would be the cost of that which we are carrying on balance sheet rate?

PL Murugappan : We cannot disclose the prices on whatever is the cost of material and all. It's only the a pproximate number only we can tell.

Aman Agrawal: Sir, any reason for the decline in garment market. Is it also like the cotton prices or was there any other factor?

PL Murugappan : No. They are basically the inventory cost.

Aman Agrawal: Sir, we had announ ced a capex for processing facility, which we are expecting to finish in 1, 1.5 years. So how is that

progressing in terms of getting government approvals and like when can we have that processing facility available, which will be, obviously, for our futur e growth, not for the current, but for the future growth?

PL Murugappan : Yes, it is in progress. We hope that it will be completed as per the plan.

Aman Agrawal: By when do we expect that to complete?

PL Murugappan : I expect it to be first half of 2025 -'26.

Aman Agrawal: H1 '26. Are we seeing any impact due to the Red Sea issue or like that is behind us like if you can talk about? Are we seeing any impact of the Red Sea issue like in terms of availability of containers for exports? So just wanted to get an idea on that.

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PL Murugappan : Not much of an impact.

Aman Agrawal: Sorry, sir.

PL Murugappan : Not much of an impact and the business is as usual.

Aman Agrawal: Got it. Thank you for answering my question, sir.

Moderator: Thank you. The next question is from the line of Vikas Jain from Equirus Capital. Please go ahead.

Vikas Jain: Yes. Hi, sir. Thank you, sir, for the opportunity. Sir, firstly, if you could comment the 40 million pieces of garment that we did, how much was the share of essentials or full length garments?

PL Murugappan : So it's more or less completely essential. We are into that segment only.

Vikas Jain: So ideally, is it like -- is there any dramatic change in the product mix between -- on

a year -on-year or on a sequential basis between last quarter and this quarter?

PL Murugappan : No, sir, more or less the same.

Vikas Jain: More or less the same. Okay. And sir, in terms of garment margins, of course, in lower scenario, which is, say, 26%, 27% margins as well. But on a steady state basis, 24% is something that we should...?

PL Murugappan : It's 22% to 24% is what we can take as a steady margin.

Vikas Jain: Okay. And sir, if you could take -- give a difference between the revenue of sugar and ethanol and the margins there as well?

PL Murugappan : Yes. The sugar division as a whole, the margin is about 28%.

Sugar revenue, INR 73 crores.

Vikas Jain: Sorry sir, could you repeat it?

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PL Murugappan : Sugar revenue is about INR73 crores for the quarter. The ethanol is about INR150 crores.

Vikas Jain: Okay. And the margins for both the segments individually?

PL Murugappan : Individually, we do not have. The combined margin is about 28%.

Vikas Jain: And sir, just one small request. If you could share these operational details along with the presentation, I believe that could be much better for the investor side. Just a small request from my side.

PL Murugappan : Yes. Actually, it will come in the balance sheet detailing. Maybe in 10, 15 days' time, we'll be publishing it. Anyway, we will discuss with our team and let you know.

Vikas Jain: Yes. Thank you so much, sir.

Moderator: The next question is from the line of Yash from Ithought PMS. Please go ahead.

Yash: Yes. Hi, team, and thank you for the opportunity. If you could firstly repeat the capex plan, my line got disconnected. And secondly, I believe a few of the peers are looking at a little slightly more aggressive capex in terms of garment expansion.

So wanted to understand what is our strategy over the next 2 to

3 years? Probably of our existing capacity, what sort of capacity are we planning to put up? Yes, that's the first question.

PL Murugappan : We propose to investing in the textile segment only right now and we are waiting for the market to improve. Basically in the yarn segment, it is still carrying a margin pressure. And yarn segment having a margin pressure means in the garment business has to improve, then only the margin will improve. So the garment industry, especially the knitwear industry, is still

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having order issues. So the market situation is not very comfortable.

So we hope that the things will improve in the coming half of the year, then we will decide on further capex in the textile business. By the time we are doing the brownfield expansion, it will continue. It will be completed sometime in the first half of this year, and it will start giving revenue in first half of the year. Other expansions, we have not decided yet.

Yash: Okay, sir. So brownfield is 30 million, right, if I'm not wrong?

PL Murugappan : Yes.

Yash: Okay, got it. Sure, sir. If I have any other questions, I'll come back.

Moderator: Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Yes, thank you for the opportunity. Just I wanted to understand the garment number a little better for the Q4. If I look at the Q4 volume data, it is roughly 41 million pieces. So how we have been able to do this much volume considering our capacity? I think it is annual near 150 million. So I'm not able to understand how the volume number is so high? Is it -- did we have any inventory or what is...?

PL Murugappan : The sales volume is a little fair because we have some of the inventories have got liquidated during this quarter. Actual production volume is about 40 million and sales volume is about 49 million.

Ahmed Madha: Okay. And we should be able to sustain 40 million in the next year

first half?

PL Murugappan : Yes, right.

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Ahmed Madha: Okay. And regarding the realization decline about 20% realization decline compared to Q2. So is it just a function of cost cotton price? Or is it a function of any value mix change?

PL Murugappan : More of the cotton price.

Ahmed Madha: Okay. And on the sugar business, I think we had a couple of weak quarters for Q3 and Q4. So I think is it fair to assume that in the next couple of quarters. So that this sugar season, 2023, '24, it will be this and then from next season onwards, which will pick up. How should we think about the sugar business?

PL Murugappan : This is offseason for sugar for the first half of the year will be a little less and the second half being seasoned, it will be a little higher. Overall, we have achieved somewhere around 28% for the year. We hope that the things will be good for the coming year also.

Ahmed Madha: But sir, I'm not able to understand that sugar volume peaks.

Why are the volumes down for there? I understand you cannot utilize full capacity, but volumes should be good. What am I missing?

PL Murugappan : Yes. Sir you're right. But what happened is sugar, when we produce more sugar, we have to wait for the government getting started for selling, that way the volume is a little less.

Ahmed Madha: So how much inventory we are taking on as of now?

PL Murugappan : We have Sugar inventory of close to about 150,000 tons.

Ahmed Madha: 150,000 tons. So do you expect that based on your inventory quota as of Q4 and you'll get some volume q uota for the next couple of quarters?

PL Murugappan : For two quarters, we will get the release orders.

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Moderator: The next question is from the line of Mulesh Savla from Shah & Savla LLP? Please go ahead.

Mulesh Savla: Sir, can you throw a little more ligh t on the FASO activity, FASO business because how it is doing and what steps are we taking to increase the visibility and all those things?

PL Murugappan : In the marketing side, we are taking the next level of advertisement and the sales promotion activiti es in South India.

It is going under -- we hope that it will be increasing the volume and the value also. The theatre and the advisement in the newspapers and the handouts and the in -store advisements those things are all going on. We hope that it will giv e a good result in the coming period.

Mulesh Savla: By and large, are we now pan -India? Or still we have restricted our marketing efforts towards South?

PL Murugappan : South India only.

Mulesh Savla: South India. Okay. And can you share the top line and EBITDA margin on that particular division?

PL Murugappan : It's not meaningful compared to the volume, whatever we have, but it is close to the top line, and I can tell you, it is somewhere around INR25 crores now.

Mulesh Savla: For the quarter or for the y ear?

PL Murugappan : For the year.

Mulesh Savla: So I think we need to push this up.

PL Murugappan : Yes.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stockbroking. Please go ahead.

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Biplab Debbarma: My first question is on th e garment expansion. So has the situation improved in Europe or Germany, for you to consider greenfield expansion environment or the situation is still the same as it was in the 5 -6 model?

PL Murugappan : So the situation is still gr im. Now both in Europe and especially Germany and all are facing some problems, especially higher inflation and lower demand and other things. We hope that the things will improve. It is because of the world order. We hope that things will improve in the coming period.

Biplab D ebbarma: Okay. That's good. And the second question is on your sugar

and ethanol production. If normal crushing we need this year, there is a normal crushing season. What is your estimate of sugar production and ethanol production in the financial year if everything remains normal?

PL Murugappan : First half of this year, if you want me to tell you the season, it is expected to be normal. But because of this drought situation in Karnataka and Maharashtra, government asked us to produce more sugar during this season. So the sugar production is higher than the ethanol production, and we expect it to be higher only in the sugar side. So ethanol production will be less. But in the coming season, hopefully, the things will be normal.

Biplab Debbarma: So that's what in FY '25, what do you think would be ballpark sugar production and ballpark ethanol production?

PL Murugappan : We expect to be somewhere around the 2 lakh tons of sugar, it is about the 6 -7 crores litres of ethanol.

Moderator: The next question is from the light of Aditya Surana from AMSEC. Please go ahead.

Aditya Surana: I just wanted to know about the volume and revenue split between yarn and fabric?

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PL Murugappan : Yes. Volume, yarn 19,000 tons, fabric 2, 285 tons. Value for yarn is INR 496 crores, fabric INR 66 crores.

Aditya Surana: Okay. And what is the production number of sugar and ethanol in FY '24?

PL Murugappan : Sugar production in '24 in 1,76,000 tons sugar, 9 crores litres of ethanol.

Aditya Surana: Sorry, for ethanol?

PL Murugappan : 9 crores litres of ethanol.

Moderator: The next question is from the line of Vineeth lambu from HSBC PMS. Please go ahead.

Vineeth lambu: Yes. So looking for FY '24 average realization for garment is around INR170. So this would be -- for the FY '25, this will be the run rate? Or would you expect it to improve?

PL Murugappan : Basic prices are more or less the same when if the cotton prices fluctuates, it will may vary a little. Otherwise, we expect it to be the same line.

Vineeth lambu: So we are expecting it to be around INR170.

PL Murugappan : Yes, around INR170.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Sir, my question is on the U.K. FDA. So just to understand if India goes through with the U. K. FDA, does this give you access to the European markets in terms of we have to go directly through to EUFDA. So would you be able to service European markets through the U.K. FDA route with the brands that we are associated with other customers that you are serving.

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PL Murugappan : We have to see the final form of the FDA, then only we can comment about it.

Lokesh Manik: But would there be any intercountry duties between U.K. and EU with FDA supply chain ending?

PL Murugappan : We have to see, sir.

Moderator: Thank you. The next question is from the line of Amruta Sane from Wealth Managers India Private Limited.

Amruta Sane: Thank you for the opportunity. I have two questions. First is regarding the garment capacities. As in right now, we have 157 million garment capacity which we are increasing to 170 million garment capacity?

PL Murugappan : 177, correct.

Amruta Sane: So after this, do we have any scope for any further Brownfield expansion or will we have to do Greenfield expansion there?

PL Murugappan: More or less the Brownfield expansion will be completed. Then there won't be the new capacity only.

Amruta Sane: My second question is regarding the ethanol and the sugar segment. As in the ethanol sales are like for FY '24 are around 51% of the total sugar segment. And we see that the margins also have increased in the sugar segment to say about 24%. So FY '25, '26, do we expect the ethanol to continue to remain higher as in the proportion to sales similar percentage?

PL Murugappan : Ethanol will be higher only, but in the coming year, the sugar sales will be a little higher than the ethanol sales.

Amruta Sane: Okay. So the margins might go back to the previous average?

PL Murugappan : So there will be some impact, but not to the previous level.

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Amruta Sane: Okay. And last question, what is the order book that we have currently?

PL Murugappan : Around INR 1,000 crores plus kind of order book.

Amruta Sane: Sorry?

PL Murugappan : More than INR 1,000 crores order book.

Amruta Sane: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Sunil Shah. Please go ahead.

Sunil Shah: Sir, K.P.R. has been one of our portfolio companies for more than 10 years. Sir, just if I observe the way in which we have grown from just pure yarn to fabric and then to value added garments, but in the last 3 years our EBITDA has been in that range of INR 1,300 crores mark and PAT has been in the range of about INR 800 crores mark.

Now top line has grown from INR 4,800 crores to INR 6,000 crores etc, but our EBITDA margins have come down. So I want to understand is there any structural issue which is causing this kind of thing because 3 years in a row, we have not seen EBITDA consolidate or PAT consolidate. Now Europe is a challenge where about 60% of our revenue or exports are coming through China. US is about 20%.

So I want to understand, is there anything from the demand side or is there anything from extra new competition? Why are we consolidating at these levels? If you could explain this or make me understand this much better.

PL Murugappan : Basically, if you look at the textile industry as a whole. In 2022 - 2023, and 2023, -2024 is facing a margin pressure in all sense

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especially yarn is facing a tough scenario. And margins used to be somewhere around 17%, 18%.

Now it is somewhere around 10%, 12%. So the margin pressure is on the yarn front is causing reduction in the EBITDA percentage, and we were able to pull it down because so if you look at the spinning companies, they are having a very tough time. Because of our integral strength and the fully integrated business model we were able to maintain the profitability even though in the tough times.

Otherwise, the margin pressure is there in every equipment because the yarn -- from yarn to garment, every stage we have a margin pressure because of the integration and the unique manufacturing setups we were able to fully turn up. If the market is turned back, the things will improve substantially.

Sunil Shah: Okay. So we are seeing some challenges on the demand side. That's the reason why we are seeing this consolidation and what is it that is going to change going forward?

PL Murugappan : Basically, the yarn demand need to be improved from the present level to next level. And the garment demand also has to improve because we are being the large player we were able to get orders and to produce more number of garments.

But the small garment players are facing problems. If you look at order position, sir, more or less 30%, 40% lesser than the normal. So the demand for yarn has come down substantially that resulted in the lower margins in EBITDA for the yarn business. So those things need to be improved especially Tirupur is being knitwear cluster of India, the market should improve then only the yarn prices will improve. The other business also will start improving like fabric sales dyeing and other things will improve. So overall market sentiments will improve.

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Sunil Shah: So my one more point is that if we see this kind of prolonged demand challenges, could we see many players winding up and moving out of the business and then

are a few successful strong integrated players will have better opportunity is that a reasonable assumption?

PL Murugappan : Would be possible, sir, but it's not entirely correct because in the spinning industry people investing a lot of money, So they can withhold them for some time.

Sunil Shah: Okay. Globally, China is causing any challenge for us in terms of providing these products to the European and the U.S. market?

PL Murugappan : China is coming as a competitor for yarn and fabric, they are selling it at a discounted prices in the market that causes the yarn margins and the fabric margins.

Sunil Shah: Fine sir. Thanks for this making understand things better.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock broking. Please go ahead.

Biplab Debbarma: Sir, the margin pressure that you are seeing, is it because of the competition or because the overall demand from our export country is muted. And I'm just trying to understand what is causing this margin pressure?

PL Murugappan : Margin pressure basically because of the lesser demand from the garment manufacturers because yarn needs to be sold to the end users garment manufacturers where the orders are very low, so the demand is not there because there's a lot of -- too many suppliers in the market for us now comparatively lesser buyers.

Biplab Debbarma: That I understood. So the demand for garment is it lesser in Tirupur because of the competition from that Bangladesh and

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other Vietnam or because of the overall demand, overall buy

from Europe has shrunk.

PL Murugappan : Overall demand from Europe is getting affected because of this war.

Biplab Debbarma: So these things may improve as the situation in Europe improve?

PL Murugappan : It is slowly improving.

Biplab Debbarma: Okay. Okay. So the things would be back to normal.

PL Murugappan : Yes back to normal 24%.

Biplab Debbarma: Thank you.

Moderator: Thank you. The next question is from the line of Anush Kumar from Spark Asia Impact Managers. Please go ahead.

Anush Kumar: Good afternoon sir. This is Anush. So I got a question and my question is on FASO. So what is your aspirational targets like 3 to 5 years down the line, what would be the contribution from FASO to be top line? And this is a different business to your existing core textile which is more of a B2C business, and that would be cash burn. So with respect to addition store addition as well as the employee cost. So what is your target in terms of on both top line and bottom line with respect to FASO?

PL Murugappan : So we have a target of about INR100 crores in 3 years' time. And the stores and all are not decided. Now, we are operating on dealer model.

Anush Kumar: Okay then. Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

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Pratik Kothari: Yes, Hi. Thank you. Good evening sir. My first question on we are generating quite some INR600 crores, INR700 crores of cash every year in our capex plans, at least in the near term doesn't seem to be so high? I mean, yes, we have increased dividend, but any plans for buyback or any -- are you thinking -- what are you thinking about the further capital allocation from here?

PL Murugappan : Just we are seeing the opportunity, if we get some opportunities, we will be utilizing it. Otherwise, we'll decide the further course of action.

Pratik Kothari: Because even to put up a greenfield, I mean, like we did last year, last time, greenfield government capacity does not require so much capex. So unless we are putting that money in sugar, we might not require such large capex.

PL Murugappan : That's what I'm telling you. We are just waiting for some opportunity because business,

we need to invest because it can generate a lot of money. So we are just waiting for some opportunity in the first half. We will decide what to do.

Pratik Kothari: Opportunities on the sugar side or textile garment?

PL Murugappan : Basically, in the textile, in case any opportunity comes in the other segments also, we will look at it.

Pratik Kothari: Fair enough. And sir, I mean, yes, the realizations on garment are lower, but volume-wise, we have grown quite well this year. I mean, from 128 million to 150 -odd, this is despite U.S., Europe not lifting as much volume as they used to do a year back or the demand they're not being as good. So what is driving this growth for us? Is it just new customers? Or are we replacing someone different, if you can just talk about how are we outperforming the end market in this year.

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PL Murugappan : Being a large player in this segment, especially in the basic garment segment , we were able to compete with the others because others are having some issues in a stand -alone garment units, they have to buy everyt hing from outside. The margin is comparatively lower. So the orders also, the big players wanted to place with the large manufacturers, so that the delivery time and the price competitiveness also will be good. That's why we are able to perform well. We ar e expecting that we will continue to perform.

Moderator: Thank you. The next follow -up question is from the line of Vikas Jain from Equirus Securities. Please go ahead.

Vikas Jain: Sir, one question from my side. Given the fact that our cotton prices remain stable at current levels, garment realizations for the next year will largely remain at the same pace? Or are there any value additions that we're doing in our overall offerings?

PL Murugappan : We've already done all the value additions we proposed. So expected to be around this level only.

Moderator: The next question is from the line of Dipen Shah our Individual Investor. Please go ahead.

Dipen Shah: I had one question on the cotton side, sir. Could you just give us some more insights on how are the cotton prices currently in respect to the international prices, we are listening and hearing or maybe reading reports that international cotton prices have started coming down significantly. So what impact could it have on our cotton procurement and what are our plans maybe over the next 2, 3 quarters, sir?

PL Murugappan : Actually, the garment being agricultural commodity and the seasonal, and the new season will start from October. Already, the mills would have purchased for this quarter. And the next quarter , they may be purchasing it. The prices of international KPR

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cotton prices are lesser by about 3%, 4% than the Indian prices. So the import -- where we import the medium staple cottons from overseas, it costs about 5% more, 5.5% more because of the duty. So more or less, the prices are in line with the Indian prices. We don't see much of a traction in that.

Dipen Shah: Okay. So on an average, for the current year, our cotton cost should be similar to the last year, around that much only?

PL Murugappan : The first half instead of full year we cannot predict, the first half expected to be the same.

Dipen Shah: Okay. It's expected to be the same.

Moderator: Thank you. The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: Sir, just a follow -up question on garment. Sir, could you please share what was the revenue from just the garment product sales and the incentives which we clock for FY '24?

PL Murugappan : Incentives is somewhere around 7% but the invoice is INR170 .

Deepak: Sir, could you repeat again?

PL Murugappan : The incentives includes the 7%. The INR170 includes the 7% incentive

Deepak: Sir I'm asking wh

at was our garment product sales? Because I understand that in your garment, you include your export incentives and some other income as well. I'm just asking what was the garment product sale, which you report in your annual report?

PL Murugappan : Yes, you send a mail, sir, we'll send it to you.

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Moderator: Thank you. As there are no further questions from the participants. I now hand the conference over to management for closing comments.

PL Murugappan : Indian textile industry is expected to rebound in the current year and consistent improvement in the domestic demand, lower cotton prices and gradual recovery in exports is an ability to achieve impressive performance, even in difficult market conditions, strategic diversification, adapt to changing market dynamics and a focus on emerging opportunities. K.P.R. stands well positioned to further expand its market share and maintain its consistent growth level. Thank you once again. Thank you all.

Moderator: On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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